TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at Court Reporter Services | Superior Court of California | County of Orange.

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at Civil Remote Hearings | Superior Court of California | County of Orange prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS
6/18/2026
02:00 PM

100	**Perez vs. AC&A LLC** **2018-01018729**	**Final Accounting** The court finds all settlement distribution efforts are fully concluded. The administrator's final report (ROA 300) is thus approved, and the court's file will be closed. Plaintiffs to give notice of the court's ruling, including to the LWDA, within five (5) calendar days, and file proof of service.
101	**Flores vs. Precise Personnel, LLC** **2019-01076985**	**Final Accounting** The settlement administrator, Phoenix Settlement Administrators, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
102	**Hernandez vs. Yellow Basket of Menifee, Inc.** **2023-01331657**	**Final Accounting** The settlement administrator, Phoenix Settlement Administrators, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.

103	**Anaheim Chamber of Commerce vs. Anaheim/Orange County Visitor & Convention Bureau** **2025-01499697**	**Motion to Appear Pro Hac Vice** Plaintiff Anaheim Chamber of Commerce's application for pro hac vice admission of attorney Jonathan Ibsen is GRANTED. On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
104	**Andrawes Husary vs. Shahidi** **2025-01487294**	**Motion to Appear Pro Hac Vice** Consistent with the Court's previous 5/5/2026 order staying all case deadlines and future hearings for a period of 45 days (ROA #75), Specially Appearing Defendants John Shahidi; Nelk, Inc.; Metacard, LLC; Nelk USA, Inc.; and Kyle Forgeard's application for pro hac vice admission of attorney Brian M. French is CONTINUED to 07/02/2026 at 02:00 PM in Department CX102. Clerk to give notice.
105	**Bojorquez vs. Hood Pacific Contractors, Inc.** **2025-01492976**	**1. Petition to Compel Arbitration** **2. Case Management Conference** Defendant Hood Pacific Contractors, Inc.'s motion to compel arbitration is **GRANTED**. (Code Civ. Proc. [CCP], § 1281.2; see also ROA #25 [Hood Decl.], passim; ROA #31 [Rocha Decl.], Exhs. A-C.) The Court notes that Plaintiff Jose Bojorquez filed a notice of non-opposition to the motion. (ROA #56.) Plaintiff "does not oppose entry of an order compelling arbitration of any claims the Court determines are subject to arbitration," but Plaintiff "requests that the Court either (1) decline to dismiss the operative complaint and stay the action at this time, or (2) defer any determination regarding dismissal and/or a stay until after the Court has ruled on Plaintiff's pending Motion for Leave to File a Second Amended Complaint currently set for hearing on July 23, 2026." (*Id.*) The Court finds that Plaintiff's notice of non-opposition concedes that the arbitration agreement exists, as Plaintiff presents no arguments or evidence

otherwise. Accordingly, the Court **ORDERS** that Plaintiff must be compelled to arbitrate his individual claims against Defendant.

The parties' arbitration agreement also includes a class waiver: "THE PARTIES AGREE THAT EACH MAY BRING CLAIMS AGAINST THE OTHER ONLY IN THEIR INDIVIDUAL CAPACITY, AND NOT AS A PLAINTIFF OR CLASS MEMBER IN ANY PURPORTED CLASS AND/OR COLLECTIVE PROCEEDING.**"** (Rocha Decl., Exh. A [Arbitration Agreement], p. 93, ¶ 8, bolding omitted.)

Plaintiff does not contend that this class waiver is unenforceable. Nor does Plaintiff cite any authority requiring the Court *not* to dismiss Plaintiff's class claims when there is an enforceable class waiver. Accordingly, Plaintiff's class claims against Defendant are **DISMISSED**.

Further, CCP section 1281.4 provides, in relevant part:

> If a court . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

Defendant's notice of motion and motion seeks a stay of "the remaining PAGA claim pending completion of the arbitration." (ROA #33 [Not. of Mot. & Mot.], p. 2; see also ROA #23 [Mot. P&A], p. 14 ["Because Plaintiff's individual claims must be ordered to arbitration, the Court should dismiss the class claims which have been waived pursuant to the parties' valid and enforceable Arbitration Agreement, leaving only the PAGA claims remaining which the Court should stay until the arbitration proceedings are completed."]; ROA #58 [Reply], p. 1 [Defendant's motion seeks a "stay [of] the remaining PAGA claim pending completion of arbitration"].)

Plaintiff cites no authority to support his contention that the Court should or may refuse to impose the requested stay pursuant to CCP section 1281.4 once the Court orders Plaintiff to arbitrate his individual claims against Defendant. Accordingly, Plaintiff's remaining PAGA claim against Defendant is **STAYED** until the arbitration is had pursuant to CCP section 1281.4.

An ADR review hearing is scheduled for December 3, 2026, at 9:30AM in Department CX102. The parties shall submit a joint status report 10 days in advance of the hearing.

The current CMC is vacated.

Defendant shall give notice.

106	**Bohinski vs. Workway, Inc.** **2025-01487765**	**Motion to Compel Arbitration** Defendant Workway, Inc.'s Motion to Compel Arbitration of Plaintiff's Individual Claims, Dismiss Class Action Claims, and for Stay or Dismissal of Proceedings filed on 2/19/2026 at ROA #84 is **GRANTED**. On 6/5/2025, Plaintiff Velia Bohinski commenced this action against Defendants Workway, Inc. and Commercial Bank of California ("CBC" or "CBOC") by filing a complaint, alleging 10 causes of action for various Labor Code violations and unfair competition. (ROA #2.) The complaint specifically includes a section on "Joint Liability Allegations" and alleges, inter alia, that at "all the times mentioned herein, each of the Defendants was the agent, principal, employee, employer, representative, joint venture or co-conspirator of each of the other defendants . . ." and that "there exists such a unity of interest and ownership between Defendants, and each of them, that their individuality and separateness have ceased to exist." (*Id.* at ¶¶ 6, 9.) Accordingly, Plaintiff alleges that "Defendants, and each of them, are joint employers." (*Id.* at ¶ 11.) Indeed, the complaint's allegations of wrongdoing do not differentiate between Workway and CBC and generally alleges "Defendants" engaged in all alleged acts. (See *id.*, passim.) On 8/28/2025, CBC filed a motion to compel arbitration of Plaintiff's individual claims, dismiss the class claims, and stay the action pending completion of the individual arbitration. (ROA #38.) CBC's motion was based on a February 12, 2025 arbitration agreement executed by CBC and Plaintiff. (ROA #36, Exh. A.) On 1/22/2026, the Court granted the motion, including staying Plaintiff's case against CBC pending the completion of the arbitration. (ROA #71.) In the meantime, on 9/12/2025, Workway filed a separate motion to compel arbitration of Plaintiff's individual claims, dismiss or strike Plaintiff's class action claims, and stay or dismiss or the present action until completion of arbitration ("First Motion"). (ROA #47.) Workway's First Motion was based only on an arbitration agreement executed by Workway on 12/4/2023 and by Plaintiff on 12/6/2023. (ROA #45, Exh. A.) On 1/29/2026, the Court denied Workway's First Motion because the agreement is procedurally and substantively unconscionable, and the unconscionable provisions are not severable. (ROA #74.) On 2/19/2026, Workway filed the instant, second motion to compel arbitration—seeking the same relief but based on the arbitration agreement between CBC and Plaintiff, which Workway contends is applicable to Workway under the theory of equitable estoppel. (ROA #84.) **1. Code of Civil Procedure (CCP) Section 1008** Plaintiff contends that Workway's instant motion is an improper renewed motion under Code of Civil Procedure (CCP) section 1008 because it seeks the same relief (i.e., compelling Plaintiff to arbitrate her claims against Workway) as Workway's First Motion, which the Court heard and denied on 1/29/2026. The only difference is that the First Motion was based on Workway's own arbitration agreement with Plaintiff, while the instant,

		second motion is based on CBC's arbitration agreement with Plaintiff under the theory of equitable estoppel. "Courts have construed section 1008 to require a party filing an application for . . . a renewed application to show diligence with a satisfactory explanation for not having presented the new or different information earlier." (*Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830, 839.) "Section 1008's purpose is to conserve judicial resources by constraining litigants who would endlessly bring the same motions over and over . . . ." (*Id.*, internal quotes omitted; see also *Le Francois v. Goel* (2005) 35 Cal.App.4th 1094, 1104 [Section 1008 "limit[s] the parties' ability to file repetitive motions"].) However, when a court "denie[s] the first motion *without* prejudice, Code of Civil Procedure section 1008 is inapplicable" because doing so "indicate[s the court] wanted to reconsider the . . . issue," as "[d]enial of a motion without prejudice implied invites the moving party to renew the motion at a later date." (*Farber v. Bay View Terrace Homeowners Assn.* (2006) 141 Cal.App.4th 1007, 1015.) Indeed, although CCP section 1008 "prohibits a party from filing repetitive motions for the same relief, . . . a court may, on its own motion, reconsider a prior interim ruling it believes to be mistaken." (*Id.*, citing *Le Francois v. Goel* (2005) 35 Cal.4th 1094, 1107-1108.) In *Farber*, the appellate court held that "the trial court acted within its powers when, essentially on its own motion, it reconsidered" a previous motion by denying it without prejudice and "with, in effect, leave to renew it" rather than continuing the first motion. (*Id.*) Here, while the Court's minute order issued on 1/29/2026 after the hearing on Workway's First Motion does not specify that the denial of that motion was "without prejudice," Workway represents that at the hearing on 1/29/2026, "the Court specifically stated in ruling on its original motion that Defendant may file a new motion on the basis of CBOC's enforceable arbitration agreement." (ROA #99, Reply, at p. 4.) Workway, who was ordered to give notice of the ruling, then served and filed on 1/29/2026 a notice of ruling specifying that the Court's denial of Workway's First Motion was "*without prejudice*." (ROA #73, emphasis original.) Plaintiff has not filed any objection to Workway's notice of ruling. Thus, given that the Court's denial of Workway's First Motion was without prejudice to Workway filing a new motion on the basis of CBC's arbitration agreement (as opposed to Workway's own arbitration agreement with Plaintiff, which was the basis for Workway's First Motion), the instant second motion is not an improper renewed motion under CCP section 1008. **2. California Rules of Court (CRC), Rule 3.1330** Plaintiff also contends that Workway's instant motion should be denied because it fails to comply with CRC, rule 3.1330, which requires motions to compel arbitration to "state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be

physically or electronically attached to the petition and incorporated by reference."

This argument lacks merit because Workway's instant motion is supported by Workway's counsel's declaration, which attaches a copy of CBC's motion to compel arbitration, which, in turn, includes quotations from CBC's arbitration agreement with Plaintiff. (ROA #82, ¶¶ 4-5, Exh. B.)

3. Equitable Estoppel

The crux of Workway's instant motion contends that because Plaintiff's complaint alleges Workway's and CBC's joint liability as joint employers, Plaintiff's claims against Workway are inextricably linked to her employment with CBC, which, in turn, was subject to a valid arbitration agreement between CBC and Plaintiff, and thus, equitable estoppel requires the Court to also compel arbitration of Plaintiff's claims as to Workway pursuant to the CBC arbitration agreement.

This contention is directly supported by *Gonzalez v. Nowhere Beverly Hills LLC* (2nd Dist., Div. 1, 2024) 107 Cal.App.5th 111 and *Garcia v. Pexco, LLC* (4th Dist., Div. 3, 2017) 11 Cal.App.5th 782, which are cited by Workway in its motion. However, the correctness *Garcia* has been questioned, including by *Soltero v. Precise Distribution, Inc.* (4th Dist., Div. 1, 2024) 102 Cal.App.5th 887.) Accordingly, Plaintiff contends that this Court should follow *Soltero* instead of *Gonzalez* and *Garcia*.

In *Garcia*, a plaintiff-employee filed a complaint against both the staffing agency and the client-employer, alleging that they were "joint employers." (*Garcia*, *supra*, 11 Cal.App.5th at pp. 784-785, 788.) The trial court granted both defendants' motion to compel arbitration under the arbitration agreement between plaintiff and the signatory staffing agency. (*Id.* at p. 785.) Plaintiff appealed the granting of the motion as to the non-signatory client-employer. (*Id.*) The Fourth District, Division 3 affirmed, holding:

> [A]ll of [plaintiff's] claims are intimately founded in and intertwined with his employment relationship with [the signatory staffing agency defendant], which is governed by the employment agreement compelling arbitration. [Plaintiff] cannot avoid his obligation arising out of his employment relationship by framing his claims as merely statutory. On these facts, it is inequitable for the arbitration about [Plaintiff's] assignment with [the client-employer defendant] to proceed with [the staffing agency], while preventing [the client-employer] from participating. This is because [plaintiff's] claims against [the client-employer] are rooted in his employment relationship with [the staffing agency], and the governing arbitration agreement expressly includes statutory wage and hour claims. [Plaintiff] does not distinguish between [defendants] in any way. All of [plaintiff]'s claims are based on the same facts alleged against [the staffing agency]. [Plaintiff] cannot attempt to link [the client-employer] to [the staffing agency] to hold it liable for alleged wage and hour claims, while at the same time arguing the arbitration

provision only applies to [the staffing agency] and not [the client-employer]. [Plaintiff] agreed to arbitrate his wage and hour claims against his employer, and Garcia alleges [defendants] were his joint employers. Because the arbitration agreement controls [plaintiff]'s employment, he is equitably estopped from refusing to arbitrate his claims with [the non-signatory client-employer].

(*Id.* at pp. 787.)

As the Fourth District, Division 1 observed in *Soltero*, "[s]ince the *Garcia* decision, several federal district courts have questioned whether it correctly applied California's equitable estoppel doctrine." (*Soltero*, *supra*, 102 Cal.App.5th at p. 894.) In *Soltero*, the court held that "*Garcia* misapplied California law on this issue." (*Id.* at p. 895.) The *Soltero* court reasoned as follows, in relevant part:

> First, the court relied heavily on the fact that the arbitration clause applied to claims of Labor Code violations. Under the equitable estoppel doctrine, however, a nonsignatory defendant cannot compel arbitration merely because the scope of the arbitration agreement extends to the types of claims asserted by the plaintiff. Rather, the critical question is whether the plaintiff's claims against the nonsignatory defendant actually rely on the terms of the contract containing the arbitration clause. If so, the plaintiff cannot avoid the arbitration clause. If not, the nonsignatory defendant cannot compel arbitration under the equitable estoppel doctrine—even if the plaintiff is asserting claims of a type that would otherwise fall within the scope of the arbitration agreement if asserted against a signatory defendant.
>
> Second, *Garcia* erred by relying on the fact that the Labor Code claims against the nonsignatory defendant "presumed the existence of the employment agreement with the signatory defendant." As the *Goldman [v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 231] court explained, it is not enough that the plaintiff's complaint presumes the existence of a contract that contains an arbitration clause. In this context, "'presum[ing] the existence of' an agreement is not a stand-alone principle, but merely an elaboration of the underlying principle, stated in all the cases: actual reliance on the terms of the agreement to impose liability on the nonsignatory. For example, in the *Boucher [v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 265-266] case cited by *Garcia*, the plaintiff's claims against his employer's successor did not just presume the existence of his employment contract containing the arbitration agreement. Rather, the plaintiff actually relied on the terms of his employment contract in suing the nonsignatory successor employer, including by asserting claims for breach of and interference with the employment contract.
>
> Finally, the *Garcia* court did not explain how Garcia's Labor Code claims against [the non-signatory client-employer] actually relied on the substantive terms of his employment agreement with [the signatory staffing agency]. The court observed that "Garcia's claims

		against [the client-employer] are rooted in his employment relationship with [the staffing agency]," but that is not a legally sufficient basis for equitable estoppel absent actual reliance on the terms of the contract containing the arbitration agreement to establish liability. The court generally described Garcia's claims as being "for violations of the Labor Code and unfair business practices pertaining to payment of wages during his assignment with [the client-employer]." Although these statutory claims may have been rooted in Garcia's employment relationship with [the staffing agency], that does not explain how they relied on the terms of his employment contract with [the staffing agency] as a basis for imposing liability against [the client-employer]. (See *Elijahjuan v. Superior Court* (2012) 210 Cal.App.4th 15, 23, 147 Cal.Rptr.3d 857 ["petitioners' rights under the Labor Code are distinct from their contractual rights . . . ."].) (*Soltero*, *supra*, 102 Cal.App.5th at pp. 895-897, internal quotes & most internal citations omitted.) Accordingly, *Soltero* "decline[d] to follow *Garcia*'s equitable estoppel holding." (*Id.* at p. 897.) Importantly, the *Soltero* court went on to state that "even assuming that *Garcia* correctly applied the equitable estoppel doctrine, it is distinguishable because Soltero is not suing both [the client-employer and staffing agency defendants] on a joint employer theory. Instead, she is only suing the nonsignatory [client-employer]." (*Id.*) Accordingly, "Soltero is not trying to have it both ways because she has forgone any claims against [the signatory staffing agency] and opted to litigate her claims in court only against [the client-employer], which is not a party to the arbitration agreement. She is entitled to make this choice. In these circumstances, there is nothing unfair about applying to [the non-signatory] the usual requirement that you must be a party to a contract to enforce it." (*Id.* at pp. 897-898.) Therefore, the *Soltero* court affirmed the trial court's denial of the non-signatory client-employer's motion to compel arbitration. (*Id.* at p. 890.) Most recently, in *Gonzalez*, the Second District, Division 1 declined to follow *Soltero* and instead followed *Garcia* where the plaintiff sued both signatory and non-signatory entities and "[t]he only possible basis for [plaintiff]'s Labor Code claims against the [non-signatory defendants] is his theory that they were *joint* employers" as it was "undisputed that only [the signatory defendant] employed [plaintiff]." (*Gonzalez*, *supra*, 107 Cal.App.5th at pp. 115-116, 122-123, 126-128.) The *Gonzalez* court criticized the *Soltero* court for implying that "a complaint must expressly reference an agreement for the plaintiff's claims to be intertwined with the underlying contractual obligation" because "[n]o authority or principle supports either the limitation or encouragement of misleading artful pleading." (*Id.* at pp. 126-127.) The *Gonzalez* court held that "claims against a joint employer are intertwined with the substantive terms of an agreement with the direct employer because a joint employer's obligations flow from those of the direct employer." (*Id.* at p. 128.) The *Gonzalez* court also found it relevant that in *Gonzalez*, the plaintiff employee did not make "a strategic choice to forgo suing the signatory" but

instead sued both the signatory and non-signatory joint employers in the same suit, thus making it "unfair for a signatory to an employment agreement to avoid arbitration by suing nonsignatories for claims that are based on the same facts and are inherently inseparable from arbitrable claims deriving from the agreement. Gonzalez obtained the benefit of employment from his agreement with [the signatory employer]. That benefit came with a limitation—his claims against his employer could only be arbitrated. It would be unfair for him to enjoy that benefit while avoiding the limitation." (*Id.* at p. 129.)

Here, given that Plaintiff sued both Workway and CBC together in the same suit and specifically alleged that they were "joint employers," *Garcia* and *Gonzalez* are more applicable than *Soltero*. Therefore, the Court concludes that under *Garcia* and *Gonzalez*, Plaintiff's claims against Workway must be arbitrated under CBC's arbitration agreement made applicable to Workway under the principles of equitable estoppel.

4. Unconscionability

Accordingly, Plaintiff next contends that even if the Court were inclined to compel arbitration of Plaintiff's claims against Workway based on equitable estoppel principles applicable to the CBC arbitration agreement, the Court may not enforce the CBC arbitration agreement because it is unconscionable when read together with the Workway arbitration agreement, which includes a confidentiality provision requiring that "any . . . arbitration of a Covered Claim shall be kept confidential."

The Court previously ruled that CBC's arbitration agreement is not unconscionable. (ROA #71.) The Court also previously ruled that Workway's separate arbitration agreement was unconscionable in part because of the cited confidentiality provision. (ROA #74.)

Plaintiff essentially contends that the Court must read the CBC agreement together with the Workway agreement under Civil Code section 1642, and "[i]f this Court determines that all claims alleged pertaining to violations suffered while working at Defendant CBC's facility are part of the same employment contract Plaintiff had with Workway," then "the Court must reevaluate the substantive unconscionability of the language of the CBC arbitration provisions in combination with Defendant Workway's employment contract, including the effect of the confidentiality provision" found therein. (ROA #95, pp. 9-11.)

Plaintiff's argument lacks merit. First, the Court's ruling on equitable estoppel is based upon the Court's finding that Plaintiff's claims against Workway are governed by Plaintiff's employment/arbitration agreement with *CBC*. (See *Garcia*, *supra*, 11 Cal.App.5th at p. 787 [all of [plaintiff]'s claims are intimately founded in and intertwined with his employment relationship with [the signatory], which is governed by the employment agreement compelling arbitration"].) Such a determination is not the same as "determin[ing] that all claims alleged pertaining to violations suffered while working at Defendant CBC's facility are part of the same *employment contract Plaintiff had with Workway*." (Opp. at p. 10, emphasis added.)

		Second, because the Court's application of equitable estoppel is based on the *CBC* arbitration agreement and not any part of the *Workway* arbitration agreement, it does not follow that the Court must also consider the terms of the *Workway* arbitration agreement in determining whether the *CBC* arbitration agreement is enforceable. Plaintiff generally contends that Civil Code section 1642 requires the court to construe together "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction." (Opp., p. 9.) However, section 1642 has no applicability where the relevant "agreements were separately negotiated . . . between [plaintiff] and different entities," and the agreements were executed at different times. (*Parker v. McCaw* (2005) 125 Cal.App.4th 1494, 1507-1508.) Therefore, the Court declines to read the CBC arbitration agreement together with the Workway arbitration agreement and declines to import the confidentiality provision from the Workway agreement into the CBC arbitration agreement. Accordingly, the CBC arbitration agreement remains enforceable and not unconscionable based upon the reasons articulated in the Court's 1/22/2026 order granting CBC's motion to compel arbitration. (ROA #71.) In sum, the Court finds that the CBC arbitration is enforceable, is not unconscionable, and is applicable to Plaintiff's claims against Workway under equitable estoppel principles because Plaintiff alleges that CBC and Workway are joint employers. Plaintiff is therefore **ORDERED t**o arbitrate her individual claims against Workway, and her class claims against Workway are hereby **DISMISSED**. Plaintiff's case against Workway is otherwise **STAYED** until the arbitration is had pursuant to Code of Civil Procedure section 1281.4. Moving party shall give notice.
107	**Padilla vs. Connect Staffing Inc.** **2025-01524286**	1.**Motion to Compel Arbitration** **2. Joinder** **3. Case Management Conference** **CONTINUED PER STIP**

108	**Benitez vs. LAZ Parking California, LLC** **2024-01441429**	**Motion for Approval of Class Settlement** Plaintiffs Moises Benitez and Walter David Rodriguez's Motion for Preliminary Approval of Class Action and PAGA Settlement is **CONTINUED to September 3, 2026 at 2:00 p.m. in Department CX102** in order to give Class Counsel an opportunity to address the issues identified below. This is a putative wage-and-hour class action and PAGA matter. On 11/21/2024, Plaintiffs Moises Benitez and Walter David Rodriguez, individually and on behalf of all others similarly situated, filed a class action and PAGA complaint against Defendants LAZ Parking California LLC and Alan Lazowski. (ROA #2.) Defendant answered on 2/14/2025. (ROA #23.) The operative complaint is the first amended complaint (FAC), filed on 1/13/2026 pursuant to the Court's order granting leave, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #59.) On 2/13/2026, Plaintiffs filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement and Class Notice ("Settlement Agreement") and Class Notice for the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of Plaintiffs' class and PAGA claims for the non-reversionary gross settlement amount (GSA) of $2,500,000. The GSA includes $100,000 allocated for PAGA penalties. The Court has identified several issues with the Settlement Agreement and moving papers. Accordingly, the following issues must be addressed by Class Counsel before preliminary approval can be granted: 1. In the Settlement Agreement, the escalator clause includes an option allowing Defendant to shorten the Class Period. This is problematic because it renders the Class Period uncertain and may result in eliminating otherwise eligible Class Members from the settlement. 2. The Settlement Agreement must provide that the Court has final say on the validity and authenticity of requests for exclusion. 3. The Settlement Agreement must provide that while the settlement administrator may make the initial decision regarding workweek disputes, the Court may review any decision made by the administrator regarding such dispute. 4. All the releases in ¶¶ 5.1-5.3 have the following problematic language which would extend the release beyond those related to or arising out of the facts alleged in the operative complaint or PAGA notice: "and/or ascertained in the course of the Action." The phrase "and ascertained in the course of the Action" should be deleted because it would be difficult to verify which facts were ascertained or not ascertained. 5. The Settlement Agreement should specify that the Court's continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h).

		6. Plaintiffs' counsel must attest to whether there are any concurrent pending cases involving similar claims against Defendant that may be impacted by the settlement and how, or confirm that there is none. Class Counsel must also provide the Court with a revised Class Notice with the following revisions: 1. The notice should be revised so as to be consistent with the resolution of the issues identified above. 2. Page numbering should restart at 1. 3. The following sentences on p. 25 should be bolded: "Your legal rights are affected whether you act or not act. Read this Notice carefully. You will be deemed to have carefully read and understood it." 4. On pp. 25-26, it is confusing to list only 2 options at first and then list 5 options immediately thereafter. These two sections should be combined into a single section that just identifies the 5 main options. 5. On p. 26, the notice states that Class Members cannot object to the PAGA settlement. This is incorrect, as they can object—they just cannot opt out. 6. On p. 27, the notice includes a statement that "Plaintiffs and Class Counsel strongly believe the Settlement is a good deal for you" for various reasons. However, the Class Notice should "avoid any commentary on the merits of the settlement." (Guidelines for Approval of Class Action Settlements & PAGA Settlements, ¶ I.C.35.) 7. Rather than having Class Members draft their own opt-out requests, objections, and workweek disputes, the Class Notice should include separate forms for each of these processes. 8. Paragraph 7 may be interpreted as advising Class Members to wait to object until after Plaintiffs have filed their motion for final approval and motion for fee approval, which need not occur until 16 court days before the final approval hearing date and may therefore occur after Class Members' deadline to send written objections. The notice should simply inform Class Members of the deadlines for Plaintiffs' filings in support of final approval as well as the final approval hearing date. 9. Paragraph 9 should specify not only the URL for the website maintained by the administrator but the Court's URL for accessing case documents. 10. The notice should specify that the judgment, "whether favorable or not," will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).) Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions: 1. Attorney information must be deleted from the caption page. 2. The title of the document should add "and PAGA" between "Class Action" and "Settlement." 3. The date for the preliminary approval hearing should be updated to reference the continued hearing date.

4. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached.
5. The proposed order should also include the definitions for PAGA Aggrieved Employees and the PAGA Period.
6. The proposed order should specify the amounts proposed to be allocated from the GSA to attorneys' fees, litigation costs, enhancement(s), administration costs, and PAGA penalties (including to the LWDA and to Aggrieved Employees).
7. Counsel should not leave blank but should instead propose a realistic Final Approval hearing date, taking into account the deadlines associated with mailing and remailing the notice and responses thereto and the documentation required to support final approval (including but not limited to time records or a summary of time spent by Class Counsel so as to enable the Court to evaluate the lodestar and attorneys' fee request; detailed litigation cost breakdowns; an Administrator declaration and invoice; and Plaintiffs' declaration to support the enhancement request). The Court usually sets these hearings at least 4 months after preliminary approval. All supporting papers must also be filed at least sixteen (16) court days before the Final Approval hearing date.
8. The proposed order should specify the Court's continuing jurisdiction pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h).

The Court further refers Class Counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar.

Class Counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance.

Plaintiffs are ordered to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.

109	**Chiem Saephan by asn thr vs. Aspen Skilled Healthcare, INC.** **2024-01394825**	**1. Motion for Approval of Class Settlement** **2. Motion for Attorney Fees** The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiffs Chiem Saephan, by and through his successor in interest James Saephan; Patricia Miller, by and through her successor in interest, Natalie Gianne; and Terry Joy, by and through his Attorney in Fact Vickie Joy's (1) Motion for Final Approval of Class Action Settlement is **GRANTED** and (2) Motion for Award of Attorneys' Fees, Costs, and Service Awards is **GRANTED IN PART**. This is a putative class action related to consumer protection laws. On 4/17/2024, Plaintiff Chiem Saephan, by and through his successor in interest, James Saephan, filed a class action complaint against Defendants Aspen Skilled Healthcare, Inc.; Aspen Healthcare Services, LLC; and AOCL, LLC. (ROA #2.) The complaint alleges 3 causes of action for: 1. Violations of the Consumer Legal Remedies Act (Civ. Code § 1750, *et seq.*) 2. Unfair Competition Law Violations (Bus. & Prof. Code § 17200, *et seq.*) 3. Violations of Resident Rights (Health & Safety Code § 1430(b)) Chiem Saephan ("Decedent") was a resident at Country Crest Post-Acute, a 24-hour skilled nursing facility. (Compl., ¶ 2.) Decedent passed away in December 2023, and James Saephan ("Plaintiff") is his successor in interest. Defendant AOCL, LLC is alleged to be the licensee doing business as Country Crest ("Facility"). (*Id.* at ¶¶ 1, 3.) Defendants Aspen Skilled Healthcare, Inc. and Aspen Healthcare Services, LLC ("Management Defendants") are alleged to be the Facility's owners, operators, parent company, and/or management company. (*Id.* at ¶ 4.) Plaintiff alleges that putative class members were admitted to the Facility as residents under the "California Standard Admission Agreement for Skilled Nursing Facilities and Intermediate Care Facilities" and the statutory Resident Bill of Rights. It is alleged that under the Admission Agreement, Defendants were required to provide a certain standard of care, including an adequate number of nursing personnel and caregivers to provide the necessary nursing services to the resident patients admitted to the Facility. (*Id.* at ¶¶ 24-25.) However, Defendants allegedly violated the Admission Agreement and Resident Bill of Rights by intentionally and routinely understaffing the facility. Plaintiff alleges that before, during, and after the admission process, Defendants intentionally concealed from the putative class members that the Facility did not employ an adequate number of "Direct Caregivers," and Defendants' fraudulent concealments were intended to deceive the putative class members into believing the Facility was properly and adequately staffed. (*Id.* at ¶¶ 26-32.) Plaintiff alleges that putative class members suffered harm because they relied on Defendants'

		representations that residents of the Facility would be provided with a standard of care consistent with all statutory and regulatory requirements. The complaint also alleges that "[i]ntegreted into the scheme set forth by the DEFENDANTS through their Governing Body is the objective to limit costs so as to maximize profit for DEFENDANTS' individual directors, officers, and managers at the expense of the health and safety of residents like CHIEM SAEPHAN. Through budgetary constraints, the DEFENDANTS systematically fail to have the resources or the staff on hand to manage the care of residents like CHIEM SAEPHAN." (*Id.* at ¶ 10.) The complaint further alleges that the FACILITY and MANAGEMENT DEFENDANTS acted "in concert with one another in furtherance of their common design and agreement to accomplish a particular result, namely maximizing profits for DEFENDANTS' individual directors, officers, and managers from the operation of the FACILITY by underfunding and understaffing the FACILITY. Moreover, the DEFENDANTS aided and abetted each other in accomplishing the acts and omissions alleged herein." (*Id.* at ¶ 12.) Defendants are also alleged to have "multiple common officers, directors, and managing agents." (*Id.* at ¶ 19.) On 8/30/2024, Plaintiff filed a motion for class certification. (ROA #57.) The motion was withdrawn on 3/25/2025, after the parties reached a settlement at mediation. (ROA #142.) On 4/3/2025, Plaintiff filed a motion for preliminary approval of the class action settlement. (ROA #147.) In support, Plaintiff submitted the Settlement Agreement (ROA #147, Exh. 1) and the Addendum to Settlement Agreement (ROA #169, Exh. 2). On 6/26/2025, at the 2nd hearing on the matter, the Court granted the motion. (ROA #184.) On 7/11/2025, the Court signed and entered the order granting preliminary approval. (ROA #189.) In the meantime, on 6/26/2026, the Court entered a stipulated order to consolidate the instant action with *Miller v. ASMB, LLC*, OSCS Case No. 30-2024-*01431680*-CU-NP-CJC for purposes of settlement. (ROA #173.) However, this *Miller* complaint was filed on 12/7/2025 by Plaintiff Patricia Miller, by and through her successor in interest, Natalie Gianne. (See ROA #2 in Case No. 2024-01431680.) It is *not* a class action complaint; rather, it alleges 2 causes of action for (1) Elder Abuse (Pursuant to the Elder Adult and Dependent Adult Civil Protection Act—Welfare & Institutions Code §§ 15600, et seq.) and (2) Negligence. Although the caption of the stipulated order lists a different *Miller* case that is a class action—i.e., *Miller v. ASMB, LLC*, OCSC Case No. 30-2024-*01439749*—the text of the order consolidates the instant action with the wrong *Miller* (individual) case. On 11/5/2025, Plaintiffs filed the instant (1) Motion for Final Approval of Class Action Settlement and (2) Motion for Award of Attorneys' Fees, Costs, and Service Awards (collectively, "Motion"). After the first hearing on the Motion on 12/4/2025, the Court continued the Motion so that Class Counsel could address various issues identified by the Court. (ROA #204; see also ROA #206 [addressing administrator's late-filed supplemental declaration].) The Court also vacated the 6/26/2025

		consolidation order and ordered Class Counsel to submit a new proposed stipulated consolidation order that lists the correct case number for the *Miller* class action. (*Id.*) Counsel did so in the instant action, and the Court entered the new consolidation order in the instant action on 1/14/2026. (ROA #221.) To confirm, in the *Miller* class action, the complaint was filed by Plaintiffs (1) Patricia Miller, by and through her successor in interest, Natalie Gianne, and (2) Terry Joy against Defendants (a) ASMB, LLC and (b) Aspen Skilled Healthcare, Inc. (ROA #2 in Case No. 30-2024-01439749.) Miller and Joy were residents at Berkley East Healthcare Center; ASMB, LLC was the licensee doing business as Berkley East (also "Facility"); and Aspen is the owner, operator, parent company, and/or management company of this Facility. (*Id.* at ¶¶ 1-4.) The *Miller* complaint largely mimics the Saephan complaint. At the second, third, fourth, and fifth hearings on the Motion on 2/5/2026, 3/5/2026, 4/9/2026, and 5/21/2026, respectively, the Court continued the Motion so that Class Counsel could address various issues identified by the Court. (ROA #234, 251, 278, 303.) In support of the Motion and in response to the Court's previous orders, the parties have submitted the following key documents, among others: 1. Settlement Agreement (ROA #147, Exh. 1), which includes a Staffing Contract at Exhibit C thereto; 2. Addendum to Settlement Agreement (ROA #169, Exh. 2); 3. Addendum to Exhibit C Staffing Contract (ROA #214, Exh. 3); 4. Second Addendum to Settlement Agreement (ROA #214, Exh. 4); 5. Third Addendum to[ ] Settlement Agreement (ROA #248); 6. Plaintiffs' Doe Amendment to their complaints (ROA #257); 7. Defendants' Notice of Appearance (ROA #274); 8. Lists of Class Members who have submitted Requests for Exclusion (ROA #268, Exh. B; ROA #290, Exh. 1; ROA #308, Exhs. 3, 4 at Opt Outs; see also ROA #266 at ¶ 8, #284 at ¶ 4, ROA #308 at ¶ 4, Exhs. 1-2); 9. List and copies of objection forms received from Class Members (ROA #288, "Updated" Exh. D); and 10. Lists of Class Members who will receive each type of claim payment (ROA #308, Exh. 4 at Current, Former, and Successors). Items #1-5 are collectively referred to as the "Settlement" or "Settlement Agreement." All capitalized terms are as defined in the Settlement Agreement. In sum, the Motion seeks approval of the Settlement, under which the Settling Defendants agree to pay a Settlement Amount of $12,000,000 to cover (1) all Cash Payments to Eligible Settlement Class Members; (2) Settlement Administration Costs, (3) Attorneys' Fees and Expense Payment; (4) Service Payments to the Named Plaintiffs; (5) Monitoring Costs; and (6) costs to comply with the Staffing Contract ("Staffing Compliance Assurance Amounts"). However, in the event that the Staffing Compliance Assurance Amounts exceed the total Settlement Amount, the Covered Facilities shall

		still be required to fully comply with all provisions of the Staffing Contract and any Staffing Compliance Assurance Amounts which exceed the Settlement Amount shall be paid for by the Covered Facilities out of pocket. The Class is comprised of 52,635 Class Members, defined as "any person who resided in, currently resides in, or who is a successor-in-interest, legal heir, and/or personal representative to a person who resided in any of the Covered Facilities during the Settlement Class Period." Class Members include: • Resident Class Members, defined as "any person who resided in any of the Covered Facilities at any time during the applicable Settlement Class Period for the Covered Facility in which the Settlement Class member resided"; and • Successor Class Members, defined as "(a) all persons who are named as a beneficiary in the will or living trust of any Resident Class Member who is deceased as of the Claim Bar Date; or (b) if there was no will or living trust, then: 1. The surviving spouse or domestic partner of the Resident Class Member. 1. 2. If none of the above, the child of the Resident Class Member, or child of a predeceased child of the Resident Class Member. 3. If none of the above, the surviving parent of the Resident Class Member. 4. If none of the above, the sibling of a Resident Class Member, or a child of a pre-deceased sibling of the Resident Class Member. 5. If none of the above, the grandparent of a Resident Class Member, or a child or grandchild of the pre-deceased grandparent of the Resident Class Member." The Settlement provides the following Cash Payments to Class Members: • Each living Eligible Settlement Class Member who is a Current Resident will receive $250.00 in the form of an automatic credit to their facility trust account, or in the form of a check if the Eligible Class Member who is a Current Resident does not have a facility trust account. An Eligible Settlement Class Member who is a Current Resident need not to submit a Claim Form to receive payment. • Each living Eligible Settlement Class Member who is not a Current Resident will receive $225.00. A valid Claim Form is required to receive payment. • Each Successor Class Member will receive $125.00. Successors of a deceased Eligible Settlement Class Member shall only be entitled to collectively receive a total of $125.00 paid pro rata. A valid Claim Form is required to receive payment.

		The Settlement Class Period is defined as "(1) as to the Defendant Facilities named in the Action, four years prior to the filing of the Complaints in the Actions up to and including the Preliminary Approval Date and (2) as to the remaining Covered Facilities, four years prior to the Preliminary Approval date up to and including the Preliminary Approval Date." The Preliminary Approval Date is defined as the date that the Preliminary Approval Order was signed by the Court, which was 7/11/2025. Between 8/19/2025, the settlement administrator, CPT Group, Inc., sent class notices via U.S. Mail to 52,635 Class Members. (ROA #195 at ¶ 4, #230 at ¶ 6.) The administrator's 3/17/2026 declaration attests that 3,115 notices were remailed between 8/28/2025 and 12/16/2025. (ROA #266 at ¶ 6.) Of these remailed notices, 3,041 were remailed because they were returned by the post office and an updated address was obtained; and 74 were remailed (or emailed) at the request of the Class Member. (*Id.*) Plaintiffs' counsel and the administrator attest that the administrator received a total of 335 opt-out requests, including 2 requests from individuals who were "unidentifiable" by the administrator—meaning they could not be associated with a Class Member—as set forth in Exhibit B of ROA #268 (see ROA #284 at ¶ 4 and ROA #288 at ¶ 4, both citing ROA #266 and #268 at Exh. B) and as further clarified in Exhibit 3 of ROA #308 (see also ROA #308 at ¶¶ 4-5, Exhs. 1-2). The individuals listed in Exhibit B of ROA #268 and Exhibit 3 of ROA #308 are not bound by the Court's Final Approval Order and Judgment. Plaintiffs' counsel and the administrator also attest that a total of 54 objections were received by the administrator. (ROA #284 at ¶ 5 and ROA #288 at ¶ 5.) These objections were submitted to the Court for review as part of the updated Exhibit D attached to ROA #288. The Court now adopts its previous tentative ruling on these 54 objections in its 5/21/2026 minute order (ROA #303) and rules as follows: • Twenty-five (25) respondents submitted an objection form but did not provide any information as to the basis for their objection. (Sub-Exhs. D-2, D-3, D-8, D-9, D-13, D-14, D-16, D-17, D-22, D-23, D-28, D-29, D-31, D-32, D-34, D-35, D-41, D-43, D-45, D-46, D-47, D-48, D-49, D-50, D-54.) The Court **OVERRULES** these objections as containing insufficient information. • Five (5) respondents submitted statements praising the facilities and/or the care received. (Sub-Exhs. D-1, D-4, D-5, D-12, D-27.) The Court considered these objections but **OVERRULES** them. • Five (5) respondents objected that the settlement amount is too low. (Sub-Exhs. D-7, D-15, D-25, D-26, D-38.) The Court considered these objections but **OVERRULES** them. • Five (5) respondents submitted statements that corroborated Plaintiffs' allegations of staffing shortages. (Sub-Exhs. D-6, D-18, D-37, D-42, D-44.) The Court considered these objections but **OVERRULES** them.

		• Thirteen (13) respondents submitted objections raising other issues with the facilities not explicitly related to staffing shortages (e.g., poor treatment by staff). (Sub-Exhs. D-11, D-19, D-20, D-21, D-24, D-30, D-33, D-36, D-39, D-40, D-51, D-52, D-53.) The Court considered these objections but **OVERRULES** them. • One final "objection" was submitted by Ruth Nemetz, who submitted an objection form, but all she wrote in the space provided for expressing her objection was: "I respectfully decline settlement." (Sub-Exh. D-10.) Substantively, this is not an objection, despite it being submitted on an objection form. Accordingly, the Court **OVERRULES** this objection. The Court concludes that the Settlement is fair, adequate, and reasonable, and in the best interests of the Class Members. The Court also concludes that the notice to the Class was adequate. Therefore, the Court certifies the defined Class for settlement purposes only. The Court concludes that an attorneys' fee award totaling $1,632,497.50 is fair, adequate, and reasonable for a class and settlement of this type and size, including considering the action's contingent nature and the results achieved. This amount represents the total lodestar amount for (1) time incurred through 1/13/2026 ($1,614,972.50) and (2) anticipated time to be incurred prospectively as attested to by counsel ($71,500.00) (see ROA #214, ¶¶ 34-36, Exhs. 6-7), with the following deductions: • $19,485.00 for hours billed by Cathleen L. Hiltbrand, as Class Counsel has failed to explain this biller's position and experience; • $28,870.00 for time spent fixing counsel's mistake in filing the action in the name of a deceased plaintiff and responding to Defendants' demurrer on that ground, including filing a new complaint; • $600.00 for time spent fixing counsel's mistake in initially listing the wrong case number for the *Miller* action to be consolidated with this action in the proposed order; • $600.00 for time spent drafting an addendum to the settlement agreement to eliminate the ambiguity as to whether Defendants' financial obligations would be capped at $12 million even if compliance with the Staffing Contract would require more than that amount; • $4,340.00 for time spent by S. Milewski from 7/25/2025 through 1/11/2026 for the task described as "[a]nalyze, collect and categorize discovery documents pursuant to request for production of documents," given that the parties reached a settlement on 3/25/2025 and the Court entered the order granting preliminary approval of the settlement on 7/11/2025, so the parties should no longer have been engaged in discovery at that point; and • $80.00 for time spent on an alleged defense ex parte application on or around 8/4/2025, which does not appear to be related to this action given that the Court already entered the order granting preliminary approval of the settlement on 7/11/2025.

The Court also concludes that actual reasonable litigation costs are $77,131.91, as litigation costs should not include overhead or nonrecoverable items such as postage, photocopies, and electronic legal research. Therefore, the Court deducts the following items from the requested $81,359.63 in costs:

- From Exhibit 3 of ROA #194:
  - 3/1/2024 – Legal Research on Westlaw - $107.05
  - 3/1/2024 - Photocopies - $20.85
  - 4/1/2024 – Postage - $2.64
  - 5/1/2024 – Legal Research on Westlaw - $257.75
  - 9/1/2024 – Legal Research - $199.64
  - 10/1/2024 – Legal Research - $52.32
  - 11/1/2024 – Postage - $342.90
  - 11/1/2024 – Photocopies - $2,732.70
  - 3/1/2025 – Legal Research - $55.92
  - 6/1/2025 – Legal Research on Westlaw - $130.45
  - 7/5/2025 – Legal Research - $77.84
- From Exhibit 4 of ROA #194:
  - 10/1/2024 – Postage - $1.94
  - 4/2/2025 – Legal Research - $80.07
- From Exhibit 6 of ROA #214:
  - 1/2/2026 – Postage – December 2025 - $7.40
- From Exhibit 7 of ROA #214:
  - 1/4/2026 – Photocopies – December 2025 - $158.25

The Court further concludes that a Service Payment of $5,000 per Named Plaintiff is fair, adequate, and reasonable for a class and settlement of this size, considering that there was nothing extraordinary about each Named Plaintiff's contribution to the case and the modest number of hours spent by the Named Plaintiffs.

The Court also notes that although the administrator attested that it will charge a total of $119,000 in costs associated with the administration of the Settlement (ROA #215 at ¶ 10), the Court finds that the Settlement provides for Settlement Administration Costs of only up to $100,000 to be paid from the Settlement Amount.

Accordingly, the Court approves the following specific awards and disbursements from the Settlement Amount:

- Attorneys' fees totaling $1,632,497.50 awarded to Class Counsel, Garcia & Coman;
- Litigation costs totaling $77,131.91 awarded to Class Counsel, Garcia & Coman;
- Settlement administration costs of $100,000.00 awarded to CPT Group, Inc.; and
- Service Payments totaling $15,000.00, with $5,000.00 awarded to Plaintiff Chiem Saephan, by and through his successor in interest James Saephan; $5,000.00 awarded to Plaintiff Patricia Miller, by and through her successor in interest, Natalie Gianne; and $5,000.00

		awarded to Plaintiff Terry Joy, by and through his Attorney in Fact Vickie Joy; and
		• Cash Payments totaling $1,684,400 to be made to Eligible Class Members in accordance with the Settlement Agreement, based upon the final claim numbers as attested to by the administrator in ROA #308 at ¶ 5 and Exhibit 4:
		  o $673,250 to 2,693 current residents;
		  o $995,400 to 4,424 for living former residents; and
		  o $15,750 to 126 successors to decedents.
		
		Within five (5) court days, Class Counsel must submit a revised Proposed Order Granting Motion for Attorneys' Fees, Costs, and Service Awards that incorporates the specific awards and disbursements in the amounts set forth in this minute order.
		
		Final Accounting is set for December 2, 2027, at 2:00 p.m. in Department CX102. Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Class Members and all others in accordance with the Settlement. The final report should also include an update on the implementation of the Staffing Contract. If the settlement funds are not completely disbursed by the report deadline, counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.
		
		Plaintiffs are ordered to give notice of this ruling to Defendants and file proof of service within five (5) court days of this ruling. Plaintiffs are also ordered to give Defendants notice of entry of the Final Approval Order and Judgment and the Order Granting Motion for Attorneys' Fees, Costs, and Service Awards within five (5) court days of entry of those orders.

110	**Penaloza vs. OC Dough, Inc.** **2020-01122070**	**1. Motion to Vacate re Arbitraton Award** **2. ADR Review Hearing** The motion of plaintiff Efrain Penaloza for an order vacating the award issued by the arbitrator on November 9, 2025 and the arbitrator's order granting defendant's motion for summary judgment is **DENIED**. Plaintiff Efrain Penaloza moves under Code Civ. Proc. §§ 1286.2 and 1286.6 for an order vacating the arbitration award issued by the arbitrator on November 9, 2025 as well the arbitrator's order granting defendant's motion for summary judgment. Defendant OC Dough, Inc., opposes the motion. Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award. Code Civ. Proc. § 1985. The petition must name as respondents all parties to the arbitration award and may name as respondents any other persons bound by the arbitration award. Code Civ. Proc. § 1985. A petition to confirm, correct, or vacate an arbitration award must: (a) set forth the substance of or have attached a copy of the agreement to arbitrate unless the petitioner denies the existence of such an

		agreement; (b) set forth the names of the arbitrators; and (c) set forth or have attached a copy of the award and the written opinion of the arbitrators, if any. Code Civ. Proc. § 1985.4. Although they are not identified in plaintiff's notice of motion, plaintiff submitted the order granting defendant's motion to compel arbitration and the arbitration award (which is described as plaintiff as the order on the defendant's motion for summary judgment) as Exhibits E and I to the declaration of attorney Alexander G.I. Davies, respectively. (ROA 169.) Exhibit I indicates that the arbitrator was the Hon. Frank J. Ochoa (Ret.). Subdivision (a) of Code Civ. Proc. § 1286.2 sets forth the grounds for the vacation of an arbitration award. It provides: Subject to Section 1286.4, the court shall vacate the award if the court determines any of the following: (1) The award was procured by corruption, fraud or other undue means. (2) There was corruption in any of the arbitrators. (3) The rights of the party were substantially prejudiced by misconduct of a neutral arbitrator. (4) The arbitrators exceeded their powers and the award cannot be corrected without affecting the merits of the decision upon the controversy submitted. (5) The rights of the party were substantially prejudiced by the refusal of the arbitrators to postpone the hearing upon sufficient cause being shown therefor or by the refusal of the arbitrators to hear evidence material to the controversy or by other conduct of the arbitrators contrary to the provisions of this title. (6) An arbitrator making the award either: (A) failed to disclose within the time required for disclosure a ground for disqualification of which the arbitrator was then aware; or (B) was subject to disqualification upon grounds specified in Section 1281.91 but failed upon receipt of timely demand to disqualify himself or herself as required by that provision. However, this subdivision does not apply to arbitration proceedings conducted under a collective bargaining agreement between employers and employees or between their respective representatives. Subdivision (a) of Code Civ. Proc. § 1286.6 sets forth the grounds for the vacation of an arbitration award. It provides: Subject to Section 1286.8, the court, unless it vacates the award pursuant to Section 1286.2, shall correct the award and confirm it as corrected if the court determines that: (a) There was an evident miscalculation of figures or an evident mistake in the description of any person, thing or property referred to in the award; (b) The arbitrators exceeded their powers but the award may be corrected without affecting the merits of the decision upon the controversy submitted; or

		(c) The award is imperfect in a matter of form, not affecting the merits of the controversy. Plaintiff contends that the arbitrator exceeded his powers because he did follow the Court order compelling arbitration of his individual PAGA claims but dismissed them in their entirety even though they claims were timely filed in the arbitration. Plaintiff also contends that the Court erred by failing to rule that he had standing as an "aggrieved employee" under PAGA as previously determined by Labor Commissioner previously determined and issued an award on December 1, 2021 that stated that plaintiff was not timely paid his final wages. In opposing the motion, defendant contends that plaintiff voluntarily dismissed his individual claims except for the PAGA claim before defendant brought its motion to compel arbitration. It contends that, although the Court's order referenced the PAGA claim, plaintiff re-filed his individual claims in the complaint he submitted to AAA for arbitration. Defendant contends that, by the time that these claims were re-asserted by plaintiff, they were untimely under the applicable limitations period. In fact, Court's file shows that, on August 31, 2020, plaintiff filed a request for voluntary dismissal of the personal and class action claims in his first amended complaint without prejudice with the exception of the non-arbitrable cause of action for PAGA and that, on September 11, 2020, the Court entered an order granting this request. (ROAs 33 and 39.) The Court's file also shows that, on July 20, 2022, defendant filed a motion for an order: (1) compelling plaintiff to submit his individual PAGA claim against defendant to binding arbitration; (2) striking any and all allegations that purported to bring PAGA representative claims per the agreement of the parties; and (3) staying all court proceedings against defendants pending resolution of the arbitration. (ROA 104.) The Court's file shows that, on January 13, 2023, the Court granted defendant's motion to compel arbitration of the plaintiff's individual claims and stayed the remainder of the case pending the outcome of the arbitration. (ROA 130.) Plaintiff's Exhibit F is the complaint he filed with AAA. It is signed by plaintiff's counsel on February 8, 2023 and contains the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to permit rest breaks; (5) failure to provide accurate itemized wage statements; (6) failure to pay all wages undue upon separation of employment; and (7) violation of Bus. & Prof. Code § 17200. The arbitration award (plaintiff's Exhibit 1 and defendant's Exhibit 2) is dated November 9, 2025 and shows that the arbitrator dismissed each of the plaintiff's claims with prejudice after he granted summary judgment in favor of defendant. The arbitration award indicates that the parties briefed the motion and that the arbitrator took the matter under submission after holding a hearing on it on August 1, 2025. The arbitration award indicates that the arbitrator found that six of plaintiff's revised causes of action were untimely brought because they were asserted more than three years after his employment ended and that the seventh cause of action was dependent on him prevailing on one of the first six. The arbitration award also indicates that the arbitrator found that the prior assertion of the claims in the complaint filed with the

		Court "did not thereafter affect a tolling of the Statute of Limitations regarding this claim." Thus, the arbitration award shows that, contrary to plaintiff's contention, the arbitrator did consider his individual claims. Also, to the extent that plaintiff contends that he was not aware that defendant had submitted evidence and a separate statement because these documents were not referenced in the submission with the moving papers and was not given an opportunity to refute or rebut them, the record shows that plaintiff filed a written opposition to the motion for summary judgment (plaintiff's Exhibit N and defendant's Exhibit 5). Also, as previously noted, the arbitrator's award states that a hearing was held on the motion for summary judgment and counsel for both parties were present at that hearing. The remainder of plaintiff's arguments appear to be complaints that the arbitrator made errors of law in his ruling. However, an arbitrator's decision generally cannot be reviewed for errors of fact or law. <u>Moncharsh v. Heily & Blase</u> (1993) 3 Cal.4th 1, 11. *Accordingly, the motion to vacate is denied*. **The Court sets a CMC for August 6, 2026 at 9:30AM** to discuss the status of further proceedings including (1) lifting the stay; (2) Defendant's plans regarding confirming the arbitration award; (3) the effect of the arbitration award on the representative PAGA case; and (4) ongoing case management and trial setting. The parties shall submit a joint CMC statement at least 10 days in advance of the hearing addressing these along with any other relevant matters. Defendant to give notice.
112	**Balt USA, LLC vs. Treadstone Medical LLC** **2021-01237081**	**1.Motion for Summary Judgment and/or Adjudication re: Liquid Embolic Kit (ROA 1582)** **2. Motion for Summary Judgment and/or Adjudication re: Tinnitus (ROA 1666)** **3. Motion for Summary Judgment and/or Adjudication re: Electrocautery (ROA 1670)** **<u>Liquid Embolic</u>** Defendants Randall Takahashi, David Ferrera, Dawson Le, Treadstone Medical LLC, M4D LLC, Infinity Neuro LLC, Vtail Medical, LLC, Sonorous Neurovascular, Inc., and RC Medical, LLC move for summary adjudication against plaintiff Balt USA, LLC as to the following issues: (1) The liquid embolic kit for peripheral veins had been conceived by Dr. Satoshi Tateshima, and it was not a corporate opportunity that the Defendants had a duty to disclose to Balt (Fourth Cause of Action); (2) The liquid embolic kit for peripheral veins had not been conceived by the Individual Defendants while they were employed by Balt, and had been abandoned, and as a result the Defendants were not contractually obligated to disclose and assign their rights and interests in the liquid embolic kit for peripheral veins to Balt pursuant to their employment agreements (Seventh Cause of Action); and (3) Since Balt does not have a lawful claim to liquid embolic kit for peripheral veins there is no merit to the other causes of action which relate to the liquid embolic glue, i.e., nos. 5-6, 8-10.

		For the following reasons, defendants' motion is GRANTED in part and DENIED in part. **Legal Authority** A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51. A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends the cause of action has no merit, there is no affirmative defense to the cause of action, there is no merit to an affirmative defense as to any cause of action, there is no merit to a claim for damages, as specified in Civil Code section 3294, or that one or more defendants either owed or did not owe a duty to the plaintiff. Civ. Proc. Code § 437c(f)(l). A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. Id. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. Choochagi v. Barracuda Networks, Inc. (2020) 60 Cal.App.5th 444, 453. The moving party's evidence is to be strictly construed, while the opposing party's evidence is to be liberally construed. Johnson v. Super. Ct. (2006) 143 Cal.App.4th 297, 308; see also Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 492 (declarations of the moving party are strictly construed, those of the opposing party are liberally construed, and doubts as to whether a summary judgment should be granted must be resolved in favor of the opposing party). The trial court may not weigh the evidence or evaluate credibility. Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840. "The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine whether the evidence is sufficient to support a potential judgment in favor of the opposing party." Id. **Procedural Dispute** The parties initially dispute whether the motion is procedurally proper because it does not purport to "completely dispose[] of a cause of action." C.C.P. § 437c, sub. (f)(1). Defendants argue a party may move for summary adjudication challenging separate and distinct wrongful acts even though they are, as here, combined with other wrongful acts alleged in the same cause of action. Specifically, defendants' aim the motion at the alleged misconduct related to the liquid embolic kit and cause of action nos. 4-10, to the extent those claims rely upon the

		alleged misconduct related to the "Liquid Embolic Kit for Peripheral Veins (StoneWall)" (the "liquid embolic kit"). See TAC ¶¶ 94-95. Among other things, plaintiff's breach of fiduciary duty claim (cause of action no. 4) concerns the corporate opportunities allegedly usurped by defendants. TAC ¶¶ 137-141. Among those opportunities are several "undisclosed inventions," which include the liquid embolic kit. Id. ¶¶ 87-119. While the court understands plaintiff's argument the product development projects were related and concern some common facts, they appear sufficiently distinct such that they can be considered separate wrongful acts for which summary adjudication is available despite their inclusion in the same cause of action. As explained in Lilienthal & Fowler v. Superior Ct. (1993), the court finds the interpretation of the code that would permit such motions best serves the legislative purpose of achieving time and cost savings. 12 Cal. App. 4th 1848, 1854 ("To rule otherwise would defeat the time and cost saving purposes of the amendment and allow a cause of action in its entirety to proceed to trial even where, as here, a separate and distinct alleged obligation or claim may be summarily defeated by summary adjudication.)" In other words, each of the allegedly usurped corporate opportunities carried with it a corresponding obligation such that the court may treat them separately for purposes of summary adjudication. While the court is aware Lilienthal has been questioned and distinguished, the court finds no basis to do so here as none of the authorities appear analogous. See, e.g., Bagley v. TRW, Inc. (1999) 73 Cal. App. 4th 1092, 1095 n.2 (dicta in case concerning substantively duplicative summary adjudication motions); Catalano v. Superior Ct. (2000) 82 Cal. App. 4th 91, 93-94 (summary adjudication of four of five issues supporting punitive damages was prohibited). **Merits** **ISSUE NO. 1**: "The liquid embolic kit for peripheral veins had been conceived by Dr. Satoshi Tateshima, and it was not a corporate opportunity that the Defendants had a duty to disclose to Balt (Fourth Cause of Action)." ROA 1582. Under Delaware law, which the parties agree applies, a fiduciary cannot take a business opportunity for himself if: (1) the corporation is financially able to exploit the opportunity; (2) the opportunity is within the corporation's line of business; (3) the corporation has an interest or expectancy in the opportunity; and (4) by taking the opportunity for his own, the corporate fiduciary will thereby be place in a position inimical to his duties to the corporation. Broz v. Cellular Information Systems (Del. 1996) 673 A.2d 148, 155. Conversely, "a director or officer may take a corporate opportunity if: (1) the opportunity is presented to the director or officer in his individual and not his corporate capacity; (2) the opportunity is not essential to the corporation; (3) the corporation holds no interest or expectancy in the opportunity; and (4) the director or officer has not wrongfully employed the resources of the corporation in pursuing or exploiting the opportunity." Id. Defendants' facts in support of this issue include, among others, Statement of Undisputed Material Fact ("SUF") 4-13, which are largely undisputed. ROA 1928. Those facts establish that prior to his departure from Balt on May 29, 2020, David Ferrera, Chief Technology Officer of Balt Inc. at the time, met with Dr. Satoshi Tateshima to discuss Tateshima's idea to use an embolic glue manufactured by Johnson &

		Johnson (sold as "TruFill") to stop bleeding in parts of the body other than the brain, which was the only use of Trufill approved by the FDA. SUF 4-13. Because the TruFill patent was set to expire, Tateshima's idea was to develop a low-cost, TruFill derivative that could be used for general surgical procedures, i.e., outside the brain. Id. Defendants argue the facts related to Ferrera's development of Tateshima's idea establish development occurred after Ferrera's departure from Balt. SUF 15-25. Defendants further argue the facts establish that defendants Randall Takahashi, Dawson Le, and Charles Yang all resigned from Balt in 2019, and were not working at Balt in the Spring of 2020 when Tateshima disclosed his idea to Ferrara. SUF 26-27, 36. The evidence is sufficient to shift the burden to plaintiff to show that a triable issue of material fact exists. Plaintiff disputes the facts above regarding development of Tateshima's idea. Plaintiff relies primarily on the evidence cited in response to SUF 15. See ROA 1928 SUF 15, 25-27, 36. However, none of the evidence plaintiff cites concerns the Tateshima idea. Instead, the evidence plaintiff relies upon expressly concerns Balt's liquid embolic product "Squid," which plaintiff argues defendants attempted to "knock off" to produce a Squid competitor using Balt's confidential files. SUF 15. Notably, plaintiff argues the plan to develop this knockoff was first hatched in September 2019, i.e., before Tateshima ever disclosed his idea to Ferrera. SUF 4-13. Additionally, plaintiff does not dispute that its two embolic glue products, "Magic Glue" and Squid, were designed "to treat neurovascular bleeding involving the veins or arteries of the brain." Accordingly, in addition to the lack of any evidentiary connection, there is no logical inference connecting Tateshima's idea, which concerned use of embolic glue to treat areas other than the brain, to a Balt or Balt competitive product. SUF 28, 30; see also TAC ¶¶ 94-95 (alleging formation of Stonewall to exploit 2020 intellectual property). Defendants also argue Tateshima's idea was not sufficiently "concrete" to constitute a corporate opportunity requiring disclosure to Balt prior to Ferrera's departure. However, a legal distinction between "abstract" and "concrete" ideas is not found in Delaware law and the court does not find the court of appeals case from Arizona, which appears to make that distinction, persuasive. Taser International Inc. v. Ward (2010) 224 Ariz. 389. Additionally, to the extent Taser equates abandonment of development prior to production with a lack of liability for breach of the duty of loyalty, the court disagrees with it. However, even assuming the court were to accept defendants' abstract/concrete framework, the evidence presented does not require the trier of fact to find in defendants' favor. Aguilar, supra, 25 Cal.4th at 845. While it is undisputed that Ferrera left Balt on May 29, 2020 (SUF 10), and did not create the "Stonewall" pitch deck concerning Tateshima's idea until the "summer" of 2020 (SUF 15-16), neither Ferrera nor Tateshima state that any additional discussions regarding Tateshima's idea occurred after the initial discussion (while Ferrera was employed by Balt) and before Ferrera began to "develop" the idea. In other words, viewing the evidence in the light most favorable to the party opposing summary adjudication, it is reasonable to conclude Tateshima's idea was sufficiently "concrete" at the time of the initial discussion to permit Ferrera to undertake a viability analysis almost immediately. Moreover, Taser demonstrates that inquiries concerning idea development are fact-intensive questions reserved for the jury. Taser, supra, 224 Ariz. at 396;

		see also Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840 (weighing evidence is a task reserved for the jury). That development of the embolic kit was ultimately abandoned and never produced for sale is immaterial. Relatedly, to the extent defendants argue nothing was invented and there was thus no property to assign, the contention incorrectly assumes all property is tangible. Defendants further argue that, among other things, because Tateshima's idea was presented to Ferrera in his individual capacity and Balt had no expectancy interest in the opportunity, Ferrera was free to take the corporate opportunity as his own. SUF 35. This argument fails. Johnston v. Greene (Del. 1956) 121 A.2d 919, 924 (company has an interest or expectancy in an opportunity when there is "some tie" between the opportunity and "the nature of the corporate business"). Here, as discussed above, the undisputed facts show Tateshima's idea concerned the use of embolic glue to stop bleeding in parts of the body other than the brain, i.e., outside the application of Balt's two glue products. Additionally, Ujwal Jalgaonkar, Vice President of Research and Development for Balt USA, testified that liquid embolics were squarely within Balt's line of business. ROA 1812 Ex. 3 at 138:19-25 ("Earlier today, you testified about general product categories that are within Balt's line of business. And so we talked about embolization coils, aspiration catheters, stents, stent retrievers, flow diverters, access devices, which was microcatheters, guide wires, and balloons, and then liquid embolics."). Furthermore, Fred Gunderman, Balt's Vice President of Clinical and Medical Affairs explained Balt's main focus was "neurovascular diseases and adjacent disease states," which are "diseases that would be accessed along the way to the head or around peripheral vascular locations." ROA 1812 Ex. 6 at 34:7-35:15. Accordingly, the evidence does not require the finder of fact to conclude that Balt did not have an expectancy interest in a third embolic glue product based on Tateshima's idea, i.e., that had a different application than its existing products. *The court thus finds there exists a triable issue of fact regarding Ferrera's usurpation of a corporate opportunity based on Tateshima's idea presented to him while employed by Balt and summary adjudication of this issue is thus denied*. However, this finding does not apply to defendants Randall Takahashi, Dawson Le, and Charles Yang, who all resigned from Balt in 2019, and were not working at Balt in 2020 when Ferrera was presented with Tateshima's idea. SUF 27. As discussed above, defendants have failed to show these defendants' activities while employed by Balt are factually or logically connected to Tateshima's idea, so no triable issue of fact exists as to them based on Tateshima's idea and summary adjudication of this issue as to them is granted. **ISSUE NO. 2**: "The liquid embolic kit for peripheral veins had not been conceived by the Individual Defendants while they were employed by Balt, and had been abandoned, and as a result the Defendants were not contractually obligated to disclose and assign their rights and interests in the liquid embolic kit for peripheral veins to Balt pursuant to their employment agreements (Seventh Cause of Action)." ROA 1582.

		For the same reasons above, the court finds there exists a triable issue of fact regarding Ferrera's failure to disclose Tateshima's idea to Balt and summary adjudication of this issue is denied. For the same reasons above, plaintiff has failed to show a triable issue of fact exists as to defendants Randall Takahashi, Dawson Le, and Charles Yang, who all resigned from Balt in 2019, and were not working at Balt in 2020 when Ferrera was presented with Tateshima's idea. SUF 27. As discussed above, defendants have failed to show these defendants' activities while employed by Balt are factually or logically connected to Tateshima's idea, so no triable issue of fact exists as to them based on Tateshima's idea and summary adjudication of this issue as to them is granted. **ISSUE NO. 3**: "Since Balt does not have a lawful claim to liquid embolic kit for peripheral veins there is no merit to the other causes of action which relate to the liquid embolic glue , i.e., the Fifth Cause of Action, alleging aiding and abetting; the Sixth Cause of Action, alleging tortious interference of contract; the Eighth Cause of Action, alleging breach of contract; the Ninth Cause of Action, alleging breach of competitive conduct against the Individual Defendants; and the Tenth Cause of Action, alleging unfair competition. None of those causes of action can support a claim based upon the liquid embolic kit for peripheral veins and they are meritless as to that medical device." ROA 1582. For the same reasons above, the court finds there exists a triable issue of fact regarding Ferrera's failure to disclose Tateshima's idea to Balt and summary adjudication of this issue based on Ferrera is denied. For the same reasons above, plaintiff has failed to show a triable issue of fact exists as to defendants Randall Takahashi, Dawson Le, and Charles Yang, who all resigned from Balt in 2019, and were not working at Balt in 2020 when Ferrera was presented with Tateshima's idea. SUF 27. As discussed above, defendants have failed to show these defendants' activities while employed by Balt are factually or logically connected to Tateshima's idea, so no triable issue of fact exists as to them based on Tateshima's idea and summary adjudication of this issue as to them is granted. **Request for Judicial Notice** To the extent a request for judicial notice is contained within a declaration (ROA 1566 ¶ 6), that request is improper and is denied. "Any request for judicial notice must be made in a separate document listing the specific items for which notice is requested and must comply with rule 3.1306(c)." CRC, Rule 3.1113(l). **Evidentiary Objections** Plaintiff's Objection No. 1, as to Tateshima Decl. ¶ 18, is overruled; foundation and personal knowledge is based on his relationship with Ferrera (¶¶ 13-14). Plaintiff's Objection No. 2, as to Ferrera Decl. ¶¶ 9, 11, and 29-30, is overruled; Ferrera's personal understanding is not a legal conclusion and he has adequate foundation and personal knowledge to speak to the scope of Balt USA's business, limited by his understanding during the time he was employed. The remainder of plaintiff's Objection No. 2 was not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Plaintiff's Objection No. 3, as to Takahashi Decl. ¶ 5, is overruled; he has adequate foundation and

		personal knowledge to speak to the scope of Balt USA's business, limited by his understanding during the time he was employed. The remainder of plaintiff's Objection No. 3 was not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Defendants' Objection No. 1, as to Exhibit 87, is overruled; the document includes sufficient information to identify the participants and Takahashi testified as to its authenticity. ROA 1819 Ex. 34 at 164:7-166:16. Defendants' Objection No. 2, as to Exhibit 88, was not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Defendants' Objection No. 3, as to Exhibit 146 is sustained as plaintiff has failed to authenticate it. See Serri v. Santa Clara University (2014) 226 Cal.App.4th 830, 855 (documents obtained in discovery and used to support or oppose a motion for summary judgment must be authenticated, admissible, and nonhearsay); Cal. Evid. Code, § 1401 (to be received in evidence, a writing must be authenticated). Plaintiff to give notice. **<u>Tinnitus</u>** Defendants Randall Takahashi, David Ferrera, Dawson Le, Treadstone Medical LLC, M4D LLC, Infinity Neuro LLC, Vtail Medical, LLC, Sonorous Neurovascular, Inc., and RC Medical, LLC move for summary adjudication against plaintiff Balt USA, LLC as to the following issues: (1) The tinnitus treatment that Dr. Stout shared with David Ferrera, nor Sonorous' BosSTENT, are corporate opportunities, because they are not in Balt USA, LLC's line of business and Balt USA, LLC did not have interest or expectancy therein, and therefore Balt's Fourth Cause of Action for breach of fiduciary duty fails as a matter of law as to the tinnitus treatment; (2) The BosSTENT was conceived, created, and invented after the Individual Defendants left Balt and as a result, the Individual Defendants did not have a duty to disclose or assign such corporate opportunity, and therefore Balt's Fourth Cause of Action fails as a matter of law as to the tinnitus treatment; (3) Since Balt USA does not have a lawful claim to Dr. Stout's tinnitus treatment or the BosSTENT, Balt's Fifth Cause of Action for aiding and abetting a breach of fiduciary duty fails as a matter of law as to the tinnitus opportunity; (4) Since Balt USA does not have a lawful claim to the tinnitus opportunity, Balt's Sixth Cause of Action for tortious interference with contract fails as a matter of law as to the tinnitus opportunity; (5) Since Balt USA does not have a lawful claim to the tinnitus opportunity, Balt's Seventh Cause of Action for declaratory judgment fails as a matter of law as to the tinnitus opportunity; (6) Since Balt USA does not have a lawful claim to the tinnitus opportunity, Balt's Ninth Cause of Action for breach of contract for competitive conduct fails as a matter of law as to the tinnitus opportunity; (7) Since Balt USA does not have a lawful claim to the tinnitus opportunity, Balt's Tenth Cause of Action for unfair competition fails as a matter of law as to the tinnitus opportunity. For the following reasons, defendants' motion is DENIED. **Legal Authority** A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc.

		Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51. A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends the cause of action has no merit, there is no affirmative defense to the cause of action, there is no merit to an affirmative defense as to any cause of action, there is no merit to a claim for damages, as specified in Civil Code section 3294, or that one or more defendants either owed or did not owe a duty to the plaintiff. Civ. Proc. Code § 437c(f)(l). A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. Id. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. Choochagi v. Barracuda Networks, Inc. (2020) 60 Cal.App.5th 444, 453. The moving party's evidence is to be strictly construed, while the opposing party's evidence is to be liberally construed. Johnson v. Super. Ct. (2006) 143 Cal.App.4th 297, 308; see also Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 492 (declarations of the moving party are strictly construed, those of the opposing party are liberally construed, and doubts as to whether a summary judgment should be granted must be resolved in favor of the opposing party). The trial court may not weigh the evidence or evaluate credibility. Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840. "The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine whether the evidence is sufficient to support a potential judgment in favor of the opposing party." Id. **Procedural Dispute** The parties initially dispute whether the motion is procedurally proper because it does not purport to "completely dispose[] of a cause of action." C.C.P. § 437c, sub. (f)(1). Defendants argue a party may move for summary adjudication challenging separate and distinct wrongful acts even though they are, as here, combined with other wrongful acts alleged in the same cause of action. Specifically, defendants' aim the motion at the alleged misconduct related to the "tinnitus opportunity" and cause of action nos. 4-7, 9-10 to the extent those claims rely upon the alleged misconduct related to the tinnitus opportunity. See TAC ¶¶ 87-93. Among other things, plaintiff's breach of fiduciary duty claim (cause of action no. 4) concerns the corporate opportunities allegedly usurped by defendants. TAC ¶¶ 137-141. Among those opportunities are several "undisclosed inventions," which include the tinnitus treatment. Id. ¶¶ 87-119. While the court understands plaintiff's argument the product development projects were related and concern some common facts, they appear sufficiently distinct such that they can be considered separate wrongful acts for which summary adjudication is available

		despite their inclusion in the same cause of action. As explained in Lilienthal & Fowler v. Superior Ct. (1993), the court finds the interpretation of the code that would permit such motions best serves the legislative purpose of achieving time and cost savings. 12 Cal. App. 4th 1848, 1854 ("To rule otherwise would defeat the time and cost saving purposes of the amendment and allow a cause of action in its entirety to proceed to trial even where, as here, a separate and distinct alleged obligation or claim may be summarily defeated by summary adjudication.)" In other words, each of the allegedly usurped corporate opportunities carried with it a corresponding obligation such that the court may treat them separately for purposes of summary adjudication. While the court is aware Lilienthal has been questioned and distinguished, the court finds no basis to do so here as none of the authorities appear analogous. See, e.g., Bagley v. TRW, Inc. (1999) 73 Cal. App. 4th 1092, 1095 n.2 (dicta in case concerning substantively duplicative summary adjudication motions); Catalano v. Superior Ct. (2000) 82 Cal. App. 4th 91, 93-94 (summary adjudication of four of five issues supporting punitive damages was prohibited). **Merits** **ISSUE NO. 1**: "The tinnitus treatment that Dr. Stout shared with David Ferrera, nor Sonorous' BosSTENT, are corporate opportunities, because they are not in Balt USA, LLC's line of business and Balt USA, LLC did not have interest or expectancy therein, and therefore Balt's Fourth Cause of Action for breach of fiduciary duty fails as a matter of law as to the tinnitus treatment." ROA 1666. Under Delaware law, which the parties agree applies, a fiduciary cannot take a business opportunity for himself if: (1) the corporation is financially able to exploit the opportunity; (2) the opportunity is within the corporation's line of business; (3) the corporation has an interest or expectancy in the opportunity; and (4) by taking the opportunity for his own, the corporate fiduciary will thereby be place in a position inimical to his duties to the corporation. Broz v. Cellular Information Systems (Del. 1996) 673 A.2d 148, 154-55. "No one factor is dispositive, and all factors must be taken into account insofar as they are applicable." Id. Whether or not a fiduciary has appropriated for himself something that in fairness should belong to his corporation is a question of fact "to be determined from the facts and surrounding circumstances existing at the time the opportunity arises." Id. at 158-59. Defendants initially argued that plaintiff was unable to exploit the tinnitus opportunity due to financial constraints, but plaintiff has disputed that contention and defendants have abandoned it. Reply at 10 n.6. Instead, the parties chief dispute is whether the tinnitus opportunity is within plaintiff's line of business. Defendants argue undisputed facts establish that at the time of tinnitus opportunity, plaintiff's line of business did not include stents, and it had no desire to develop or manufacture a tinnitus stent, as shown by its contemporaneous knowledge it could have done so and its failure to do so to date. SUF 16-17, 22, 34-36. David Ferrera, Chief Technology Officer of Balt Inc. at the time of his departure in May 2020 and former President and COO of Balt USA beginning in August 2016, declares he understood "Balt USA was not developing, manufacturing, or selling a stent to treat pulsatile tinnitus." Ferrera Decl. (ROA 1652) ¶ 9. Ferrera further declares that during the same time, he "understood that Balt USA was focused on three priorities:

		(i) lowering the manufacturing costs of the Optima Coil, (ii) improving and expanding its ischemic stroke portfolio, and (iii) customer service." Id. ¶ 8. As an initial matter, the latter (¶ 8) does not establish SUF 22, i.e., "thus, Dr. Ferrera did not think Balt USA would pursue Dr. Stout's idea." Additionally, his declaration does not establish that Balt USA had no desire to develop such a stent, nor does it establish that none of the Balt entities were developing or manufacturing stents. Furthermore, Ferrera contradicted these statements during deposition in which he testified he thought Balt would have interest in Dr. Stout's tinnitus idea in January 2019 because it was an innovation he had "never heard of [ ] before." ROA 1832 Ex. 93 at 29:12-30:2. Additionally, Ferrera admitted he "knew Balt made stents." Id. at 25:19-24. Defendants also rely upon the testimony of Pascal Girin, Balt's Chief Executive Officer, who testified that Balt USA was making two "coil" products during the first quarter of 2019. ROA 1637 Ex. 8 at 56:18-23. However, plaintiff's manufacturing activities during a three-month period does not establish that stents, including a tinnitus stent, are outside plaintiff's line of business. Defendants also rely on the testimony of Ujwal Jalgaonkar, Vice President of Research and Development for Balt USA, who agreed that "Balt's medical devices are generally intended to treat hemorrhagic strokes, ischemic strokes, brain aneurysms, and peripheral vascular conditions[.]" ROA 1637 Ex. 7 at 128:17-23. However, this deposition excerpt lacks context and does not establish stents, including a tinnitus stent, are outside plaintiff's line of business. Furthermore, in the same deposition, defendants' attorney Mr. Emory acknowledged that Mr. Jalgaonkar testified that stents were in Balt's line of business. Id. at 138:19-25 ("Earlier today, you testified about general product categories that are within Balt's line of business. And so we talked about embolization coils, aspiration catheters, stents, stent retrievers, flow diverters, access devices, which was microcatheters, guide wires, and balloons, and then liquid embolics."). Based on the above, the court finds the evidence presented by defendants insufficient to find the tinnitus treatment was not a Balt corporate opportunity at the time of Dr. Stout's disclosure. See Aguilar, supra, 25 Cal.4th at 845 (defendant moving for summary judgment must present evidence that would require a trier of fact not to find any underlying material fact more likely than not); Johnston v. Greene (Del. 1956) 121 A.2d 919, 924 (company has an interest or expectancy in an opportunity when there is "some tie" between the opportunity and "the nature of the corporate business"). The evidentiary burden does not shift to plaintiff, and the motion is denied as to Issue No. 1. **ISSUE NO. 2**: "The BosSTENT was conceived, created, and invented after the Individual Defendants left Balt and as a result, the Individual Defendants did not have a duty to disclose or assign such corporate opportunity, and therefore Balt's Fourth Cause of Action fails as a matter of law as to the tinnitus treatment." ROA 1666. As an initial matter, defendants argue undisputed facts establish the BosSTENT device is not based on any contribution of Dr. Stout. SUF 13-15. Upon examination of the evidence supporting these factual assertions, the court finds defendants have met their initial burden and the burden thus shifts to plaintiff to produce evidence demonstrating the

		existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, supra, 25 Cal.4th at 850-51. Among other evidence plaintiff offers to dispute this issue, it points to email correspondence between Stout and Ferrera beginning in October 2018 in which Ferrera, then President and COO of Balt USA, reached out to follow up on Stout's "questions and concerns [he had] for novel product ideas." ROA 1831 Ex. 90. In December 2018, Ferrera reached out again seeking to "reconnect" to discuss a "a project." Id. Stout replied that he was "interested in [Ferrera's] thoughts on a device [Stout] thought of." Id. In January 2019, during a "VIP Visit" to Balt, Stout disclosed his tinnitus treatment idea to Ferrera. ROA 1832 Ex. 91; SUF 4. Stout's February 2019 tinnitus treatment with stent was among the "physician ideas presented to Balt in 2019" as reflected in a company slide deck. ROA 1832 Ex. 93 at 28:9-30:2. In December 2019, before Ferrera had left Balt, he continued discussions with Stout regarding the tinnitus stent treatment, stating his desire to "bring this idea to market" to which Stout provided further details, including the use of a "detachable stent." ROA 1832 Ex. 97. In March 2020, Ferrera and Stout discussed building prototypes for the tinnitus opportunity Id. Ex. 93 at 81:8-82:1. In March 2020 email correspondence which included, among others, defendant Randall Takahashi, Balt's Vice President of Manufacturing between August 2016 and March 2019 and defendants Dawson Le, Charles Yang, and Ferrera, a proposal to Stout was discussed as part of a "Tinnitus Op Plan." Id. Ex. 99. A tinnitus stent product is also reflected in a cost modeling document distributed in May 2020 to, among others, Takahashi. Id. Ex. 98. It is undisputed that after defendant Sonorous was formed in 2012, Stout transferred his tinnitus patents to that entity in exchange for equity. Balt's Statement of Additional Facts ("SAF") 37; ROA 1832 Ex. 96 ("My conversation with Peter [Ferrera] a few weeks ago was to request the Assignment document [of the Stout patents] to allow for transfer/assignment of the first device to another entity."). Additionally, Takahashi believed the braided stent, about which plaintiff has raised a triable issue (ROA 1939), "was part of" the development of "and helpful to make" the BosSTENT. ROA 1819 Ex. 34 at 143:8-13; accord id. at 152:6-153:3. Viewing the evidence in the light most favorable to the party opposing summary adjudication, as the court must, plaintiff has raised a triable issue of fact, and it is for a jury to decide to what extent defendants were involved in the development of the BosSTENT while employed by Balt. Accordingly, summary adjudication of Issue No. 2 is denied. **ISSUE NOS. 3-7**: As resolution of each of these issues in defendants' favor is dependent upon defendants' successful adjudication of Issue Nos 1-2, i.e., plaintiff has no lawful claim as to Stout's tinnitus treatment or the BosSTENT, summary adjudication of all remaining issues must be denied. **Request for Judicial Notice** Defendants' unopposed request for judicial notice of Exhibits A-L (ROA 1645) is granted. Cal. Evid. Code §§ 452(c), (h), 453. **Evidentiary Objections**

		Plaintiff's Objection No. 1 is overruled; the court finds the evidence relevant. Plaintiff's Objection No. 2 is overruled; Ferrera has adequate foundation and personal knowledge to speak to the scope of Balt USA's business, expressly limited by his understanding during the time he was employed. Objection No. 3 was not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Plaintiff to give notice. **<u>Electrocautery</u>** Defendants Randall Takahashi, David Ferrera, Dawson Le, Treadstone Medical LLC, M4D LLC, Infinity Neuro LLC, Vtail Medical, LLC, Sonorous Neurovascular, Inc., and RC Medical, LLC move for summary adjudication against plaintiff Balt USA, LLC as to the following issues: (No. 1) The electrocautery device invented by third-party physicians Drs. Sunenshine and Hirsch of First Pass LLC cannot constitute a corporate opportunity, because the device is not within Balt USA, LLC's line of business and Balt USA, LLC did not have interest or expectancy in the electrocautery device, and therefore the Fourth Cause of Action for breach of fiduciary duty fails as a matter of law as to the electrocautery device; (No. 2) The electrocautery device invented by third-party physicians Drs. Sunenshine and Hirsch of First Pass LLC was disclosed after the Individual Defendants left Balt USA, LLC, and therefore the Fourth Cause of Action fails as a matter of law as to the electrocautery device because the Individual Defendants did not have a duty to disclose or assign this corporate opportunity to Balt USA LLC; and (Nos. 3-7) Since Balt USA does not have a lawful claim to electrocautery device, the Fifth, Sixth, Seventh, Ninth, and Tenth Causes of Action fail as a matter of law as to the electrocautery device. *For the following reasons, defendants' motion is GRANTED.* **Legal Authority** A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, supra, 25 Cal.4th at 850-51. A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends the cause of action has no merit, there is no affirmative defense to the cause of action, there is no merit to an affirmative defense as to any cause of action, there is no merit to a claim for damages, as specified in Civil Code section 3294, or that one or more defendants either owed or did not owe a duty to the plaintiff. Civ. Proc. Code § 437c(f)(l). A motion for summary adjudication shall be granted only if it completely disposes

		of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. Id. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. Choochagi v. Barracuda Networks, Inc. (2020) 60 Cal.App.5th 444, 453. The moving party's evidence is to be strictly construed, while the opposing party's evidence is to be liberally construed. Johnson v. Super. Ct. (2006) 143 Cal.App.4th 297, 308; see also Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 492 (declarations of the moving party are strictly construed, those of the opposing party are liberally construed, and doubts as to whether a summary judgment should be granted must be resolved in favor of the opposing party). The trial court may not weigh the evidence or evaluate credibility. Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840. "The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine whether the evidence is sufficient to support a potential judgment in favor of the opposing party." Id. **Procedural Dispute** The parties initially dispute whether the motion is procedurally proper because it does not purport to "completely dispose[] of a cause of action." C.C.P. § 437c, sub. (f)(1). Defendants argue a party may move for summary adjudication challenging separate and distinct wrongful acts even though they are, as here, combined with other wrongful acts alleged in the same cause of action. Specifically, defendants' aim the motion at the alleged misconduct related to the electrocautery device and cause of action nos. 4-7 and 9-10, to the extent those claims rely upon the alleged misconduct related to the electrocautery device. See TAC ¶¶ 94-95. Among other things, plaintiff's breach of fiduciary duty claim (cause of action no. 4) concerns the corporate opportunities allegedly usurped by defendants. TAC ¶¶ 137-141. Among those opportunities are several "undisclosed inventions," which include the electrocautery device. Id. ¶¶ 112-114. While the court understands plaintiff's argument the product development projects were related and concern some common facts, they appear sufficiently distinct such that they can be considered separate wrongful acts for which summary adjudication is available despite their inclusion in the same cause of action. As explained in Lilienthal & Fowler v. Superior Ct. (1993), the court finds the interpretation of the code that would permit such motions best serves the legislative purpose of achieving time and cost savings. 12 Cal. App. 4th 1848, 1854 ("To rule otherwise would defeat the time and cost saving purposes of the amendment and allow a cause of action in its entirety to proceed to trial even where, as here, a separate and distinct alleged obligation or claim may be summarily defeated by summary adjudication.)" In other words, each of the allegedly usurped corporate opportunities carried with it a corresponding obligation such that the court may treat them separately for purposes of summary adjudication. While the court is aware Lilienthal has been questioned and distinguished, the court finds no basis to do so here as none of the authorities appear analogous. See, e.g., Bagley v. TRW, Inc. (1999) 73 Cal. App. 4th 1092, 1095 n.2 (dicta in case concerning substantively duplicative summary adjudication motions); Catalano v. Superior Ct. (2000) 82 Cal. App. 4th 91, 93-94 (summary adjudication of four of five issues supporting punitive damages was prohibited).

		Merits The court finds the corporate opportunity timing issue dispositive and therefore addresses it first. **ISSUE NO. 2**: "The electrocautery device invented by third-party physicians Drs. Sunenshine and Hirsch of First Pass LLC was disclosed after the Individual Defendants left Balt USA, LLC, and therefore the Fourth Cause of Action fails as a matter of law as to the electrocautery device because the Individual Defendants did not have a duty to disclose or assign this corporate opportunity to Balt USA LLC." ROA 1670. It is undisputed the electrocautery device was conceived of and was patented beginning in 2007 through 2021 by third parties, Drs. Kevin Hirsch and Peter J. Sunenshine, through their company First Pass, LLC. Defendants' Statement of Undisputed Material Fact ("SUF") (ROA 1897) 1-8. In 2020, defendant David Ferrera, Chief Technology Officer of Balt Inc. at the time, partnered with third party William Colone to form a venture fund for medical devices later registered as the "Quantum Fund." SUF 11-12. It is undisputed that in February 2020, Drs. Sunenshine and Hirsch discussed with Mr. Colone two devices the doctors had been developing, i.e., the electrocautery device, and an IVC filter removal device. SUF 14-15. At that time, Colone informed the doctors he was not interested in developing the electrocautery device. SUF 16. Colone did not disclose his February 2020 conversation with the doctors to Ferrera, including the two devices discussed, or any related information. SUF 17. Colone and the doctors did not discuss the electrocautery device again until June 1, 2020, when Colone proposed his potential involvement and the parties set a call for the next day to discuss it. SUF 26-28. After Colone signed an NDA, the doctors referred him to their design company to obtain additional information, which Colone thereafter obtained. SUF 29-30. On July 14, 2020, after completing his due diligence, Colone advised the doctors that he wished to add their company to the Quantum Fund portfolio. SUF 31. At some point during Colone's due diligence, he informed Ferrera of the electrocautery device. Id. At no point prior to or while Colone conducted his due diligence did Ferrera have any written or oral communications with Dr. Sunenshine about the electrocautery device or otherwise. SUF 32. It is undisputed that Ferrera's employment with Balt ceased on May 29, 2020. SUF 10. It is also undisputed the employment with Balt of the other individual defendants, i.e., Dawson Le, Charles Yang, and Randall Takahashi ended no later than October 2019. SUF 9. Based on the above, the court finds defendants have met their initial burden to show no triable issue of material fact exists as to the electrocautery device and the burden shifts to plaintiff to produce admissible evidence demonstrating the existence of a triable issue of material fact as to the electrocautery device. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, supra, 25 Cal.4th at 850-51. As an initial matter, while plaintiff purports to dispute that the Quantum Fund was not established until 2020, that Colone rejected the electrocautery device in February 2020, and that he and the doctors did not discuss it again until June 2020, plaintiff's evidence does not show any such factual disputes exist. SUF 12, 26-28.

As to the all-important timing issue, plaintiff argues "[d]ocuments from Ferrera's files indicate that he was aware of the electrocautery device as early as February 2020." SUF 16. Plaintiff's Statement of Additional Material Fact ("SAF") (ROA 1897) 45-46 are relied upon for support. SAF 45 states "To pitch their idea to Colone, Drs. Sunenshine and Hirsch sent Colone a presentation about First Pass and the device, which they called the HemoStop Rx [sic] at the time." SAF 46 states "Colone forwarded this presentation to Ferrera in February 2020. Ferrera had multiple copies of this presentation in his possession, all dated February 2020." Both SAF 45 and 46 rely on the same three documents, i.e., Exs. 136-138. Per the Kohan Declaration, Ex. 136 "is a true and correct copy of a PowerPoint presentation titled 'HemoStop Bx,' which was created on February 6, 2020, and which was produced in this action on October 25, 2024 pursuant to the Court's October 16, 2024 Order requiring production of Dave Ferrera's laptops (ROA 855)." ROA 1879 ¶ 21. Exhibits 137-138 are identified as true and correct cop[ies] of the documents produced in the action bearing Bates number[s] M4D-0074695" and "RCM1272865," respectively. Id. ¶¶ 22-23.

Exhibits 136-138 each contain the same presentation created by the doctors that was sent to Colone and each are preceded by a single page, which contains substantially similar information to the following:

Starting Bates	RCM1272865
Custodians	Colone, Bill;Ferrera, Dave;RC Medical
Document Type	EDoc
File created date	2/6/2020
File created time	3:23:41 PM
File last modified date	6/3/2020
File last modified time	10:30:03 AM

Ex. 136.

Defendants have objected to these documents, including the initial "metadata" pages, which precede the actual documents that were produced in the action. ROA 1909 (Objection No. 1).The court observes the metadata pages do not bear the bates numbers plaintiff has identified and plaintiff offers no explanation as to how these pages came to exist and how these "exhibits," which are, notably, unattached to any communications to or from anyone, came to be compiled. Accordingly, the court will sustain defendants' Objection No. 1 on foundation and hearsay grounds. The court further finds the exhibits inadmissible because no attempt has been made to authenticate them. See, e.g., Serri v. Santa Clara University (2014) 226 Cal.App.4th 830, 855 (documents obtained in discovery and used to support or oppose a motion for summary judgment must be authenticated, admissible, and nonhearsay); Dollinger DeAnza Associates v. Chicago Title Ins. Co. (2011) 199 Cal.App.4th 1132, 1144–1145 ("a party cannot avoid summary judgment by asserting facts based on mere speculation and conjecture, but instead must produce admissible evidence raising a triable issue of fact'"); Guz v. Bechtel National, Inc. (2000) 24 Cal.4th 317, 356 (once defendant meets initial burden on summary judgment, plaintiff must respond with admissible evidence raising a triable issue of material fact); Cal. Evid. Code, § 1401 (to be received in evidence, writing must be authenticated). However, even if the exhibits were admissible, and the court accepted the metadata content as true, the exhibits do not create a triable issue of fact regarding corporate opportunity as to the electrocautery device.

		As plaintiff admits, the presentation contained in Exs 136-138 was sent by Drs. Sunenshine and Hirsch to Colone. SAF 45. As discussed above, the undisputed evidence shows Colone was first sent the presentation in June 2020. SUF 28-30. Indeed, Colone identifies the same presentation contained in Exs. 136-138 as part of "the detailed information about the electrocautery device (also referred to as the HemoStop Rx device at that time), including, among other things, an overview presentation of the device and market opportunity, a prototype presentation, technical drawings, as well as the design history file" that he received in June 2020. ROA 1662 ¶ 8 Exs. 3-5. Plaintiff provides zero evidence that "metadata," and especially metadata of unknown origin, that reflects a "file created date" of February 6, 2020, relates in any way to when Ferrera or anyone else received, or "forwarded" the document and there is no evidence to support such an inference. Per Merriam Webster, "create" means "to bring into existence." See https://www.merriam-webster.com/dictionary/create. Based on the evidence presented, no reasonable trier of fact could find the "file created date" of the presentation reflects the date that document was transmitted, especially considering that each of the metadata pages also include a "last modified date" of June 3, 2020. Exs. 136-138. Furthermore, there is no evidence Ferrera was ever included at any stage of the months-long discussion between the doctors and Colone regarding the electrocautery device, even after Ferrera left Balt. See ROA 1660 Exs. G-N. Plaintiff's argument that defendants' apparent success at creating an ethical wall between the electrocautery device discussion and Ferrera prior to his departure at Balt is evidence of his liability is counter intuitive and not persuasive. SAF 43. Additionally, that Ferrera and Sunenshine had a "longstanding relationship" (SAF 39) is irrelevant and immaterial to any corporate opportunity as to the electrocautery device, as are most of the facts offered in the SAF. Accordingly, plaintiff has failed to show a triable issue of fact exists as to this issue. SUF 31-32. Summary adjudication of this issue as to individual defendants Dawson Le, Charles Yang, and Randall Takahashi is granted as plaintiff fails to even argue that the corporate opportunity was disclosed prior to February 2020, i.e. after each of these defendants ceased their employment with Balt. SUF 9; GAB Business Services, Inc. v. Lindsey & Newsom Claim Services, Inc. (2000) 83 Cal.App.4th 409, 421 (disapproved on other grounds by Reeves v. Hanlon (2004) 33 Cal.4th 1140, 1154 (fiduciary duties end when employment ends). As to Ferrera, summary adjudication of this issue is granted as plaintiff has failed to show the corporate opportunity was disclosed to him prior to his departure from Balt. In other words, there was no Balt corporate opportunity as to the electrocautery device that Ferrera could usurp. GAB Business Services, Inc., supra, 83 Cal.App.4th at 421. **ISSUE NO. 1**: "The electrocautery device invented by third-party physicians Drs. Sunenshine and Hirsch of First Pass LLC cannot constitute a corporate opportunity, because the device is not within Balt USA, LLC's line of business and Balt USA, LLC did not have interest or expectancy in the electrocautery device, and therefore the Fourth Cause of Action for breach of fiduciary duty fails as a matter of law as to the electrocautery device." ROA 1670. For the reasons discussed in Issue No. 2, supra, this issue is moot. There was no Balt corporate opportunity as to the electrocautery device that

		defendants could usurp. GAB Business Services, Inc., supra, 83 Cal.App.4th at 421. **ISSUE NOS. 3-7**: Since Balt USA does not have a lawful claim to the electrocautery device, the Fifth, Sixth, Seventh, Ninth, and Tenth Causes of Action fail as a matter of law as to the electrocautery device. ROA 1670. For the reasons discussed in Issue No. 2, supra, summary adjudication of these issues is granted; Balt USA has no lawful claim which can support these claims. **Request for Judicial Notice** Defendants' unopposed request for judicial notice of Exhibits 1, 6-8, and A-F (ROA 1664) is granted. Cal. Evid. Code §§ 452(c), (h), 453. **Evidentiary Objections** Plaintiff's Objection No. 3, as to Sunenshine Decl. ¶ 11 is overruled. ROA 1874, 1903. Objection Nos. 1-2 pertain to the tinnitus stent device only and are part of the court's ruling on that motion. For the reasons discussed above, defendants' Objection No. 1 as to exhibits 136-138 is sustained on foundation and hearsay grounds. The court also finds the exhibits have not been authenticated are thus inadmissible. Defendants to give notice.
113	**David Goldman v. LBG Real Estate Companies, LLC** **2025-01498037**	**1. Motion - Petition to Determine Validity of Third-Party Claim of LBG Medford, LLC (ROA#154)** **2. Motion - Petition to Determine Validity of Third-Party Claim of LBG Medford DN, LLC (ROA#155)** **3. Motion - Petition to Determine Validity of Third-Party Claim of LBG Chula WM, LLC (ROA#157)** **4. Motion to Seal (ROA#141)** **THIRD PARTY CLAIMS:** Plaintiff/Judgment Creditor David Goldman's Petitions for Hearing to Determine the Validity of Third-Party Claims filed by (1) LBG Chula WM, LLC; (2) LBG Medford, LLC; and (3) LBG Medford DN, LLC are **DENIED** as untimely filed. Accordingly, the Court is without jurisdiction to hear the Petitions. Under the Enforcement of Judgments Law (EJL) (Code Civ. Proc. [CCP] §§ 680-010-724.726), "[w]here personal property has been levied upon under . . . a writ of execution," "[a] third person claiming ownership or the right to possession of property may make a third-party claim under this chapter . . . if the interest claimed is superior to the creditor's lien on the property." (CCP, § 720.110, subd. (b).) "[E]ither the creditor or third person may petition the court for a hearing to determine the validity of the third-party claim and the proper disposition of the property that is the subject of the claim," so long as the petition is filed

		"[n]ot later than 15 days after the third-party claim is filed with the levying officer." (CCP, § 720.310, subd. (a).) When the petition is not timely filed, "the court [i]s without jurisdiction to hear the matter." (*Ballagh v. Williams* (1942) 50 Cal.App.2d 303, 303 [decided under earlier version of statute]; *Michael v. Burge* (1959) 176 Cal.App.2d 128, 130 ["We have concluded that appellants' contention that the court had no jurisdiction to hold a hearing on the third party claims must be sustained" because "respondent's petition to determine the title was not filed within [the deadline] after the delivery of the third party claims to the officer as required by [an earlier version of the statute]; see also *Commercial Credit Plan, Inc. v. Gomez* (Super. Ct., App. Dept., 1969) 276 Cal.App.2d Supp. 831, 834 ["The law is so clear that when 15 days have run from the filing of the third party claim and no petition for hearing has been filed, the trial court in which the suit was brought loses jurisdiction to hear the summary proceeding"; also decided under earlier version of statute].) Here, according to the Orange County Sheriff's date & time stamp on the third-party claims, the Third-Party Claimants filed their Verified Notices of Third Party Claims with the Sheriff, i.e., the levying officer, on 1/28/2026. (ROA #157, Exh. E [LBG Chula WM's Third-Party Claim, signed 1/27/2026 and file-stamped by O.C. Sheriff on 1/28/2026]; ROA #154, Exh. E [LBG Medford's Third-Party Claim, signed 1/27/2026 and file-stamped by O.C. Sheriff on 1/28/2026]; ROA #155, Exh. E [LBG Medford DN's Third-Party Claim, signed 1/27/2026 and file-stamped by O.C. Sheriff on 1/28/2026].) Fifteen (15) days after 1/28/2026 was 2/12/2026, which was a court holiday, so the deadline to file the Petition was 2/13/2026. (CCP, §§ 12, 12a.) However, Goldman did not file the instant Petitions with the Court until 2/20/2026. (ROA #154-155, 157.) The Court notes that Third Party Claimants specifically raised the untimeliness of Goldman's Petitions in their opposition. Goldman failed to timely file a reply to rebut these contentions. Therefore, the Court is without jurisdiction to hear the Petitions. Clerk to give notice. **MOTION TO SEAL:** Third Parties Leslie Lundin and Douglas Beiswenger's Motion to Seal Documents Filed in Support of David Goldman's Ex Parte Application for Order Permitting Consideration of Newly-Discovered Evidence in Support of Motion for Receiver (ROA #141) is **GRANTED**. Third Parties seek to seal/redact from the public record two categories of information: (1) attorney-client privileged information relating to the amount of attorneys' fees paid in ongoing litigation and (2) other confidential financial information reflected in the subject bank statements which are subject a right to privacy.

		"Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court [CRC], rule 2.550(c).) "The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) [t]here exists an overriding interest that overcomes the right of public access to the record; (2) [t]he overriding interest supports sealing the record; (3) [a] substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) [t]he proposed sealing is narrowly tailored; and (5) [n]o less restrictive means exist to achieve the overriding interest." (CRC, rule 2.550(d).) However, this rule "does not apply to records that are required to be kept confidential by law" (CRC, rule 2.550(a)(2)), such as "[a] document which is protected by the lawyer-client privilege[, which] is not subject to the [CRC rule 2.550(d)] findings requirements." (*Huffy Corp. v. Super. Ct.* (2003) 112 Cal.App.4th 97, 108). Overriding interests include a substantial probability that the movant's privacy rights will be adversely affected if the record is not sealed. (See, e.g., *Overstock.com, Inc. v. Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 503, internal quotes & citations omitted [right to privacy "extends to one's confidential financial affairs" and "embraces confidential financial information in whatever form it takes, whether that form be tax returns, checks, statements, or other account information"]; *Hecht, Solberg, Robinson, Goldberg & Bagley LLP v. Super. Ct.* (2006) 137 Cal.App.4th 579, 594 ["Although corporations have a lesser right to privacy than human beings and are not entitled to claim a right to privacy in terms of a fundamental right, some right to privacy exists"]; see also *Universal City Studios, Inc. v. Super. Ct.* (2003) 110 Cal.App.4th 1273, 1286 [denying motion to seal due to public disclosure, but finding that normally, sealing is appropriate where "information involves confidential matters relating to the business operations of defendant" and "public revelation of these matters would interfere with its ability to effectively compete in the marketplace"].) Here, as to the first category of information at issue in the instant motion to seal, on 5/15/2026, the Court sustained Third Parties' attorney-client privilege objections related to the documents at issue and ordered that any papers filed by Goldman containing the privileged information be stricken from the record. (ROA #226.) Thus, granting the motion to seal this information is consistent with the Court's previous ruling, and the Court need not make additional express findings under CRC, rule 2.550(d). As to the second category of information at issue in the instant motion to seal, the Court finds that Third Parties have proved facts that establish: (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (CRC, rule 2.550(d); see also ROA #119 [Lundin Decl.], ¶¶ 6-7; ROA #121 [Fletcher Decl.], ¶¶ 24, 27.) Accordingly, the Court **ORDERS** that:

		1. ROA #76, 78, 82, 84, 86, 88, 90, and 92 be stricken from the Court's file (sealed) so that the public may not access them; 2. The unredacted replacement versions of these documents, which were lodged by Third Parties on 2/5/2026 concurrently with this motion to seal (see ROA #129) shall be placed under permanent seal; and 3. Third Parties' proposed redacted public versions of ROA #78, 84, 82, 86, 88, 90—which were filed at ROA #125, 135, 133, 123, 137, and 127—shall be filed in the public file. The Court notes that Third Parties previously prepared and submitted a proposed order striking the attorney-client privileged information from the record in accordance with the Court's 5/15/2026 minute order. (ROA #232 [proposed order].) The substance of that proposed order overlaps substantially with the instant ruling on Third Parties' motion to seal. Accordingly, the Court **ORDERS** Third Parties to submit a single, combined, omnibus proposed order that incorporates the Court's 5/15/2026 ruling and the instant ruling. Moving party shall give notice.
114	**Xiong vs. Jeunesse Global, LLC**	**Motion to be Relieved as Counsel of Record** Attorneys Jeffrey Jacobson, David Koller, and Joie Hand of law firm Faegre Drinker Biddle & Reath LLP's motion to be relieved as counsel of record for Defendant Jeunesse Global, LLC dba Jeunesse, LLC ("Jeunesse") is **GRANTED**, effective upon the filing of the proof of service of the signed order upon the client. (Code Civ. Proc., § 284, subd. 2.) **Moving counsel shall lodge with the Court an updated proposed order that lists the correct department number and judicial officer assigned to this case. Moving counsel shall also update the order to reflect the currently scheduled hearing on the motion to file an amended complaint along with the below OSC.** **An OSC hearing is set for August 27, 2026 at 2 p.m. in Department CX102**. At the hearing, the Court will strike Defendant Jeunesse's answer for its failure to appear through counsel unless it (1) substitutes in new counsel before the hearing or (2) appears at the hearing and shows good cause otherwise. (See *Merco Construction Engineers, Inc. v. Mun. Ct.* (1978) 21 Cal.3d 724, 730 [corporation may not represent itself and must appear through a licensed attorney]; *CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1145, 1150 [same, and "court retains authority to dismiss an action if an unrepresented corporation does not obtain counsel within reasonable time"].) Moving counsel shall give notice of this ruling.